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TO: Marcus Ellison, Managing Member — Meridian Gateway Holdings LLC

CC: Ansel Coventry III, Managing Partner — Coventry Capital Partners LP

FROM: Rebecca Tsang, Lead Partner • Jordan Abernathy, Associate Counsel

DATE: June 20, 2025

RE: Drafting Issues Memorandum — Long-Term Ground Lease, 10–30 Pier Street, Port Calloway, CT (APN 127-003-0045); Issues, Conflicts and Gaps Across the Term Sheet, Title Commitment, Phase II Environmental Site Assessment, Construction Loan Term Sheet and Survey

We have prepared the attached first draft of the Ground Lease Agreement (the "**Draft Lease**") for delivery to Howard Koss at Pryor Whitfield & Koss LLP. This memorandum accompanies that draft. It records every issue, conflict and gap we identified across the source documents, sets out our independent recomputation of every figure used in the Draft Lease, identifies the provisions of the Draft Lease that respond to each issue, and lists the open items that require your decision, a third party's action, or further legal research before we can deliver or finalize the draft.

1. PURPOSE, SCOPE AND SOURCES REVIEWED

1.1 **Purpose.** You asked for two things: a first draft of the ground lease, and a memorandum identifying "any issues, conflicts, or gaps" across the term sheet, the title commitment, the Phase II ESA and the Bayside loan term sheet. This memorandum is the second of those; the Draft Lease is the first. We have also responded to the specific instructions in your June 15 email (reverter and improvement forfeiture; percentage rent; tax abatement timing; remediation credit mechanics; security deposit step-down; affordable housing; milestones and force majeure; assignment/ROFR). Where your instructions required a change to the negotiated Term Sheet, the change is flagged in the Draft Lease and catalogued in Part 9 below, because each such change requires Landlord Board action under Resolution No. 2025-047, § 4(d).

1.2 **Sources reviewed.** We reviewed each of the following in full. Appendix 1 is a source-to-issue log recording where each material proposition, figure, date and obligation appears.

#	Document	Date / Reference	Used for
1	Client instructions email (M. Ellison to R. Tsang)	June 15, 2025, 09:47	Client priorities, business parameters, negotiation instructions
2	Executed binding term sheet (Term Sheet)	June 10, 2025	Deal terms; the baseline against which the Draft Lease is measured
3	Construction loan term sheet (Bayside)	May 28, 2025	Required ground lease provisions (§ 5.1–5.7); closing conditions (§ 6)
4	Title commitment TC-2025-07821 (Ridgepoint)	Effective June 1, 2025	Title, Schedule B-I requirements, Schedule B-II exceptions, recorded instruments
5	Phase II ESA executive summary (Halcyon HEC-2025-0412)	May 2, 2025	Environmental conditions, ELUR interpretation, remediation scope and cost
6	ALTA/NSPS survey narrative and legal description (CLS-2025-0417)	Field April 20, 2025; plat April 28, 2025	Premises description, easements, topography, legal description
7	Board Resolution No. 2025-047	Adopted June 5, 2025	Landlord's authority; limits on delegated

#	Document	Date / Reference	Used for
			authority

1.3 **What we did not have.** We did not have, and the Draft Lease assumes the existence of, the following. Their absence is itself a finding, and they are itemized in Part D: the Phase I ESA (only referenced); the full Phase II report and appendices (A–J, including boring logs, laboratory data and the ELUR text); the ELUR instrument itself; the 2019 Declaration of Right of First Refusal; the 2019 Declaration of Restrictive Covenants; the survey plat (Sheets 1 and 2) and the survey referenced in the title commitment (CLS-2025-0321); the Bayside loan documents and commitment letter; the Coventry preferred equity documentation; any zoning or site-plan determination; and any DEEP correspondence regarding the ELUR or the pending LUST file.

1.4 **Method and conventions.** We extracted every figure, date, period, threshold and cross-reference from the record and recomputed each one independently (Part 2 and Appendix 3). We recomputed the two competing legal descriptions by traverse and shoelace computation (Part 3.1). We read the Draft Lease against the Bayside requirements line by line (Part 4.2). We have separated: (a) facts extracted from the record; (b) our computations; (c) legal characterizations; (d) open questions; and (e) recommendations. Where we characterize law, we say so and we identify whether it has been verified. **Nothing in this memorandum is a substitute for the independent legal research identified in Part 7, which we have not completed.**

2. EXECUTIVE SUMMARY AND TOP-RISK REGISTER

2.1 **Bottom line.** The transaction is financeable in its current structure only if five things are fixed before the Draft Lease is negotiated: (i) the reverter/forfeiture provision; (ii) the lender protection package, which as drafted in the Term Sheet does not satisfy Bayside's § 5 conditions; (iii) the legal description, which as stated in the title commitment describes a parcel approximately twice the size of the Premises; (iv) the mechanics' lien, which the title company will not insure over and which the Term Sheet wrongly treats as a Permitted Exception; and (v) the recorded right of first refusal, which by its recorded terms contains no carve-out for leasehold mortgagee enforcement. Items (iii), (iv) and (v) are gating: without them, no leasehold title policy issues and the Bayside loan cannot close, whatever the business terms say.

2.2 **Top-risk register.** The table below is risk-prioritized. Severity reflects the risk to Meridian (economic exposure, closing risk, or financing risk), not the difficulty of the fix.

#	Risk	Why it matters	Sev.	Draft Lease §
1	Reverter/forfeiture: on a missed milestone the Authority takes $200–300M of improvements and keeps the $5.7M deposit, with no compensation	Exposure of $205.7M–$305.7M. Bayside will not lend against it. Likely unenforceable as a penalty, but that is not a financing strategy	Critical	§§ 10.5, 10.6, 10.7, 10.9; Art. 9
2	Term Sheet lender protections do not meet Bayside § 5.1–5.7	Five of seven requirements are not addressed; none is fully satisfied. Each is a condition precedent to loan closing	Critical	Art. 9 (§§ 9.1–9.11); Ex. F
3	Legal description error in title commitment	Stated courses enclose ~279,535 SF (6.42 ac) against a recited 3.2 ac; traverse miscloses 1.10 ft. Title cannot issue; $/SF rent basis is unsupported	Critical	§ 2.3(b); § 16.2; Ex. A; Ex. G
4	Mechanics' lien ($187,500, Calloway Marine Demolition)	Title Requirement 7 bars any policy until discharged; Term Sheet § 13 wrongly lists it as a Permitted Exception; Bayside § 6(c) bars unapproved exceptions	High	§ 2.3(h); § 2.9(a); § 16.2; Ex. B, Part 6

#	Risk	Why it matters	Sev.	Draft Lease §
5	Recorded ROFR (Vol. 405, Pg. 55) has no mortgagee carve-out	A recorded instrument cannot be overridden by a lease term; blocks foreclosure, deed-in-lieu and New Lease transfers during the first 20 years	High	§ 11.5 and drafting flag; Ex. B, Part 4
6	Percentage rent: Breakpoint fixed at $28.5M for 99 years	Erodes from 8.84x Base Rent in Year 6 to 0.96x by Year 96 — becomes a gross-receipts tax, exactly the outcome you flagged	High	§ 5.3 and drafting flag; Ex. D
7	Tax abatement: delivered by the City, not the Authority; period starts on Lease Commencement Date	3 construction years consumed before rent commences; no enforceable backstop; statutory authority unverified	High	§§ 6.6–6.9; § 2.3(f)
8	ELUR prohibits ground-floor residential use; project program includes ground-floor lobby, amenity and leasing space	DEEP enforcement risk and a permitting risk that could delay Milestone 1; unresolved in the record	High	§ 7.8; § 14.5; § 15.2
9	Remediation overrun risk uncapped and estimate likely understated	Tenant bears all costs above $2.4M; below-grade parking could generate 7,000–27,000 CY of additional excavation against a 1,533 CY contaminated-soil estimate	High	§ 7.4; § 7.5
10	Bulkhead in "fair to poor" condition, cost unquantified and unallocated	Structural and cost risk sits with Tenant under a triple-net lease and again at surrender; survey notes 40 LF of cap already removed	High	§ 2.9(b); § 14.3
11	Survey is stale and title commitment expires before closing	Bayside § 6(d) requires a survey dated within 90 days of closing (survey date + 90 days = July 19, 2025); commitment expires Dec. 1, 2025	Med.	§ 2.3(b), (c)
12	Security deposit step-down undefined; LOC issuer conflict between Term Sheet and Board Resolution	"90% occupancy" is not defined for a mixed-use project; the Board recital requires a federally chartered bank	Med.	§§ 8.3–8.4
13	Material deviations from the Term Sheet require Board action	Resolution No. 2025-047, § 4(d) requires Board review of any deviation deemed material; several of our changes are	High	Part 9 (deviation schedule)
14	Financing term mismatch	Loan matures at 48 months (60 with extensions) but Milestone 3 is at 60 months and Milestone 4 at 84; Coventry's completion guaranty runs to the initial maturity	Med.	Part 6.13
15	Assignment/recapitalization constraints	ROFR plus consent regime could impede Coventry's liquidity path and the 100% membership-interest pledge Bayside requires	Med.	§§ 11.1–11.7

2.3 **What is not a problem.** Several items you flagged as concerns are, on our recomputation, internally consistent and should not consume negotiating capital: the initial Base Rent and per-square-foot rate (Part 2.1, item 1); the security deposit and step-down amounts (items 7–8); the remediation credit waterfall (item 9); the tax abatement percentages and dollar amounts (item 11); and the milestone dates (item 15). The dollar amounts in the Term Sheet are, with two immaterial exceptions, arithmetically correct.

2.4 **A note on tone.** Because this is a first draft to opposing counsel, the Draft Lease is drafted from Tenant's side but is intended to be negotiable rather than maximal: it retains the Authority's reverter concept (with compensation), retains the ROFR (narrowed), retains the affordable housing covenant and the public open space obligation, and does not seek to reduce Base Rent or the Percentage Rent rate. The provisions most likely to be characterized by Mr. Koss as "not substantially consistent with the Term Sheet" are catalogued in Part 9 with a suggested framing for each.

PART 2 — FIGURES, DATES AND THRESHOLDS INDEPENDENTLY RECOMPUTED

We recomputed every number that appears in the Term Sheet, the Phase II ESA and the Board Resolution rather than adopting the documents' own arithmetic. The full computation schedule is Appendix 3. Findings follow.

2.1 Base Rent, escalation and the per-square-foot rate

#	Item	Record states	Our recomputation	Result
1	Rent per square foot	$20.45/SF ($2,850,000 ÷ 139,392 SF)	$20.4466	Correct as rounded
2	Monthly Base Rent	$237,500 ($2,850,000 ÷ 12)	$237,500.00	Correct
3	Years 6–10 annual Base Rent	$3,224,500	$3,224,513.41 ($2,850,000 × 1.025^5)	Understated by $13.41
4	Years 11–15 annual Base Rent	$3,648,200	$3,648,240.95 ($2,850,000 × 1.025^10)	Understated by $40.95
5	Years 6–10 monthly	≈ $268,708	$268,709.45	Correct as rounded
6	Years 11–15 monthly	≈ $304,017	$304,020.08	Correct as rounded

Items 3 and 4 arise because the Term Sheet compounded the rounded Year 6 figure ($3,224,500 × 1.025^5 = $3,648,225.78) rather than the initial Base Rent. The aggregate difference is about $54 per annum — economically immaterial, but it would produce two different rent schedules depending on which sentence of the lease a reader applied. Section 4.3 of the Draft Lease states the schedule as controlling and reconciles the difference expressly, so that neither side can later argue that a scrivener's rounding was a negotiated term. If Mr. Koss prefers the Term Sheet figures, we should accept them and conform the schedule — the point is the internal consistency, not the $54.

2.2 Security deposit and remediation credit

#	Item	Record states	Our recomputation	Result
7	Security deposit	$5,700,000 = 24 × $237,500	$5,700,000.00	Correct
8	Step-down amount	$2,850,000 = 12 × $237,500	$2,850,000.00	Correct
9	Remediation credit waterfall	Months 1–7 at $0; month 8 credit $137,500, Tenant pays $100,000	7 × $237,500 = $1,662,500; $1,800,000 − $1,662,500 = $137,500; $237,500 − $137,500 = $100,000	Correct and internally consistent
10	Tenant remediation share	$600,000	$2,400,000 − $1,800,000 = $600,000	Correct

2.3 Taxes and the tax abatement

#	Item	Record states	Our recomputation	Result
11a	Current taxes (land only)	$145,950	$4,200,000 × 0.03475 = $145,950.00	Correct
11b	Full-build taxes	$6,185,500	$178,000,000 × 0.03475 = $6,185,500.00	Correct
11c	Years 1–5 (25%)	$1,546,375	$178,000,000 × 0.25 × 0.03475 = $1,546,375.00	Correct
11d	Years 6–10 (50%)	$3,092,750	$178,000,000 × 0.50 × 0.03475 = $3,092,750.00	Correct
11e	Years 11–15 (75%)	$4,639,125	$178,000,000 × 0.75 × 0.03475 = $4,639,125.00	Correct
11f	Aggregate value of the abatement	not stated	$46,391,250 over 15 years (5 × $4,639,125 + 5 × $3,092,750 + 5 × $1,546,375)	New figure — useful for Board presentation

The percentages and amounts are correct, but note the structural point in Part 6.2 below: the abatement is calculated as a percentage of the *post-development assessed value* that will not exist during construction. Because the Term Sheet starts the 15-year clock on the Lease Commencement Date, approximately three of the fifteen years (October 2025 – September 2028) fall before Rent Commencement, when the improvements are not yet on the grand list. The aggregate value of the abatement stated above is therefore only achievable if the clock is re-anchored.

2.4 Capital stack and uses

Sources ($285,000,000 loan + $95,000,000 Coventry preferred equity + $45,000,000 Meridian co-invest = $425,000,000) and uses ($352,000,000 hard + $38,500,000 soft + $34,500,000 contingency = $425,000,000) both reconcile. Loan-to-cost is 67.06% (the Term Sheet states 67.1%). Equity is 32.94%. Bayside's 1.00% origination fee on $285,000,000 is $2,850,000, correct.

Two items appear to be unbudgeted. First, the environmental remediation: the Phase II estimate is $2,400,000, of which Tenant's net share is $600,000, but neither figure appears in the uses of funds. Second, the bulkhead: the Phase II expressly excludes bulkhead repair or replacement from its $2.4M estimate and recommends a separate structural assessment. We do not know the magnitude, but a 480-foot steel sheet pile and concrete cap rehabilitation on a coastal site is a seven-figure item, not a rounding error. Both should be added to the uses (or confirmed as within the hard-cost contingency) before the loan budget is finalized with Bayside, because Bayside's condition (g) requires an approved construction budget.

2.5 Milestones and other date intervals

#	Item	Record states	Our recomputation	Result
15	Milestone 1 (18 months)	April 1, 2027	October 1, 2025 + 18 months = April 1, 2027	Correct
16	Milestone 2 (42 months)	April 1, 2029	October 1, 2025 + 42 months = April 1, 2029	Correct
17	Milestone 3 (60 months)	October 1, 2030	October 1, 2025 + 60 months = October 1, 2030	Correct
18	Milestone 4 (84 months)	October 1, 2032	October 1, 2025 + 84 months = October 1, 2032	Correct
19	Rent Commencement (36 months)	October 1, 2028	October 1, 2025 + 36 months = October 1, 2028	Correct
20	Expiration	September 30, 2124	99 years from October 1, 2025 = September 30, 2124	Correct
21	ROFR period (20 years)	through September 30, 2045	October 1, 2025 + 20 years = September 30, 2045	Correct
22	Alteration restriction (final 10 years)	from October 1, 2114	October 1, 2124 − 10 years = October 1, 2114	Correct
23	Force majeure cap	12 months FM + 6 months permitting; aggregate 18	12 + 6 = 18	Correct
24	Title commitment expiration	December 1, 2025	June 1, 2025 + 6 months = December 1, 2025	Correct — but see Part 6.14
25	Bayside term sheet expiration	June 27, 2025	May 28, 2025 + 30 days = June 27, 2025	Correct — confirm execution

2.6 The Phase II cost estimate contains two arithmetic errors

This is a small point with a real consequence, because the $2,400,000 total is the number the credit is built on. In each of Halcyon's two cost tables the line labelled "Contingency (10%)" is not 10%:

Area	Cost components (sum)	Stated contingency	Stated "10%" would be	Stated total	Total if 10% applied
Area 1 — Northwest Corner	$1,750,000	$100,000 (5.71%)	$175,000	$1,850,000	$1,925,000
Area 2 — Former Dry Dock	$525,000	$25,000 (4.76%)	$52,500	$550,000	$577,500
Combined	$2,275,000	$125,000 (5.49%)	$227,500	$2,400,000	$2,502,500

The stated totals are arithmetically consistent with the stated contingency line items ($1,750,000 + $100,000 = $1,850,000; $525,000 + $25,000 = $550,000). The error is in the *label*, not the addition: the effective contingency is 5.5%, not 10%. The consequence is that if 10% is in fact the intended contingency, the total is $2,502,500, and Tenant's residual share (total less the $1,800,000 credit) is **$702,500, not $600,000** — a $102,500 gap in a figure that has already been described to the Authority, to Coventry and in the Board resolution. Our recommendation is not to litigate the label but to use it: we should confirm with Halcyon and with you which contingency is intended, and, if it is 10%, correct the figures now. An understated remediation estimate is the last thing we want in a lease where Tenant bears every dollar of overrun.

> **Related quantity issue.** Halcyon states that 933 cubic yards of contaminated soil require excavation in Area 1 but prices a "material handling volume" of approximately 3,100 cubic yards, and does not state the disposal quantity. At $520,000, the off-site transportation and disposal line implies either $557 per cubic yard on 933 CY (implausibly high) or $168 per cubic yard on 3,100 CY (plausible, but then all 3,100 CY is being treated as disposal rather than the clean backfill that a separate $290,000 line is procuring). The estimate cannot be verified without Appendix I (Remediation Cost Estimate Backup and Supporting Calculations), which is not in the record. **Request it.**

PART 3 — THE PREMISES: A MATERIAL LEGAL DESCRIPTION ERROR

This is the finding in the record that we regard as most urgent after the reverter, because it is silent, it is gating, and it will not be discovered by anyone who does not run the traverse.

3.1 The title commitment's Exhibit A describes a parcel of approximately 6.42 acres

The Title Commitment (Schedule A, Section 5 and Exhibit A) attaches a metes-and-bounds description and states that it is "derived from" an ALTA/NSPS survey. We ran that description:

Course	Bearing	Distance
North line (Pier Street)	North 72° 15′ 30″ East	580.00 ft
Bulkhead (east), course 1	South 18° 22′ 45″ East	240.40 ft
Bulkhead (east), course 2	South 17° 48′ 10″ East	239.60 ft
South line (APN 127-003-0044)	South 72° 08′ 15″ West	582.50 ft
West line (Harbor Avenue)	North 17° 44′ 30″ West	480.20 ft

Computed on those courses: the traverse **miscloses by approximately 1.10 feet**, and the enclosed area is **approximately 279,535 square feet, or 6.417 acres**. The same instrument recites "Containing 3.2 acres (139,392 square feet), more or less." The discrepancy is not a rounding error: the computed area is **2.01 times** the recited area. The same description also recites a 480.00-foot bulkhead frontage (240.40 + 239.60), which is where the recurring "approximately 480 linear feet of bulkhead" figure comes from.

By contrast, the description in the delivered survey (Survey Job No. CLS-2025-0417) **closes exactly** (0.000 feet of misclosure) and encloses **139,475 square feet (3.202 acres)**, a variance of +83 square feet (+0.06%) from the recited 139,392 — which is simply the assessor's 3.2 acres × 43,560. The two descriptions also differ systematically:

Element	Title Commitment Exhibit A	Delivered Survey (Section 4)	Difference
North line bearing	N 72° 15′ 30″ E	S 78° 15′ 30″ E	Exactly 6° 00′ 00″
West line bearing	N 17° 44′ 30″ W	N 11° 44′ 30″ E	Exactly 6° 00′ 00″
North / south line length	580.00 ft / 582.50 ft	435.22 ft / 435.22 ft	≈ 145 ft
East / west line length	240.40 + 239.60 = 480.00 ft / 480.20 ft	320.47 ft / 320.47 ft	≈ 160 ft
Closure	1.10 ft misclosure	0.000 ft	—
Enclosed area	≈ 279,535 SF (6.417 ac)	139,475 SF (3.202 ac)	2.01×

Conclusion. The title commitment's Exhibit A cannot be used as the legal description of the Premises, and, taken literally, it would describe a parcel that encroaches on Assessor's Parcel No. 127-003-0044 (retained by the Authority for park development) and beyond. It should not be signed by either party in its current form. We have drafted **Exhibit A** to the Draft Lease from the survey description and have inserted Section 16.2 and a drafting note requiring Landlord, at its cost, to correct the description and cause the title company to reissue before Lease Commencement. Section 2.3(b) makes a conformed title commitment a condition precedent.

Two further consequences deserve your attention. First, the Base Rent is expressed as approximately $20.45 per square foot on 139,392 square feet. On the title commitment's (erroneous) 279,535 square feet, the same dollars would be $10.20 per square foot. If the parties ever litigate rent, the description and the area recital must be consistent, so this is a rent risk as well as a title risk. Second, the survey's own narrative repeats "approximately 480 linear feet of bulkhead" while its traverse gives a 320.47-foot eastern boundary and the pedestrian easement computation (15 ft × 480 ft = 7,200 SF) is built on 480 feet. On 320.47 feet the easement area is 4,807 square feet. We have therefore treated the 480-foot figure as unverified in Sections 2.9(b) and 14.3 and flagged it for confirmation from the survey plat, because the bulkhead length drives both the repair cost allocation and the geometry of the 8,000 square foot public open space.

3.2 The survey referenced by the title commitment is not the survey in the record

Data point	Title Commitment (Exhibit A / Schedule A)	Delivered survey
Job / drawing number	CLS-2025-0321	CLS-2025-0417
Surveyor	J. Michael Ferreira, P.L.S.	Thomas R. Pellegrino, P.L.S.
Connecticut license	No. 12847	No. PLS-008741
Date	April 20, 2025, "last revised May 15, 2025"	Field April 20, 2025; plat April 28, 2025

Either there are two surveys by the same firm (in which case we need CLS-2025-0321 and an explanation of why it differs), or the title company transcribed the description and the survey references from a different file. Either way, the survey referenced in the title commitment is not in the record, is not certified to Bayside, and cannot satisfy Bayside's condition (d), which requires a survey prepared by a licensed surveyor and certified to the Lender and the title company, dated within ninety days of closing. Ridgepoint and Calloway Land Surveyors must reconcile this before the description is used for the lease or the memorandum of lease.

3.3 Two further record conflicts in the condemnation history

The parties recite the Authority's 2012 taking inconsistently. The Term Sheet (§ 2) places the final judgment in the "Connecticut Superior Court, Judicial District of Port Calloway"; the Title Commitment (Schedule A, § 4 and Exception No. 10) places it in the "Judicial District of New Haven"; and the survey references the Final Order of Condemnation at **Volume 375, Page 44**, while the Title Commitment twice cites **Volume 367, Page 44**. We have drafted the Landlord representation in Section 18.1(g) to cover the substance (that no reverter, reversionary interest or former-owner claim survives) rather than reciting a volume and page that may be wrong, and we have flagged the discrepancy for correction in the title policy and in the recitals. Small in themselves; together with item 3.1 they suggest that the title work has not yet been reviewed by anyone at the level this transaction requires.

PART 4 — CROSS-DOCUMENT CONFLICT REGISTER AND THE BAYSIDE GAP ANALYSIS

4.1 Conflict register

The following conflicts appear across the five transaction documents. "Conflict" here means that two records cannot both be right, or that one record attributes to another a term it does not contain.

#	Subject	One record says	Another record says	Analysis	Sev.
C1	Parcel area and legal description	TC Ex. A: courses enclosing ~279,535 SF, recited "3.2 acres (139,392 SF)"; TS § 2 adopts 139,392 SF and $20.45/SF	Survey: 139,475 SF on a description that closes exactly	Title description is wrong; use survey description; conform area recital (Part 3.1)	Crit.
C2	Identity of the governing survey	TC: "CLS-2025-0321," Ferreira, PLS 12847, rev. May 15, 2025	Survey: "CLS-2025-0417," Pellegrino, PLS-008741, April 28, 2025	Different job, surveyor, license and date; the referenced survey is not in the record	High
C3	Bulkhead frontage	TS § 2, TC Ex. A and Survey narrative: "approximately 480 linear feet"	Survey traverse: eastern boundary line 320.47 ft; easement area 15 × 320.47 = 4,807 SF, not 7,200 SF	480 ft appears to trace to the erroneous title description; confirm from plat. Drives bulkhead cost and open-space geometry	High
C4	Condemnation record	TC: Vol. 367, Pg. 44; Judicial District of New Haven	Survey: Vol. 375, Pg. 44. TS § 2: Judicial District of Port Calloway	Discrepancy in volume/page and in court; recited consistently nowhere	Low
C5	AMI geography for the affordable covenant	TS § 4: "Port Calloway Metropolitan Statistical Area"	TC Ex. 5: "New Haven-Milford, CT MSA". Survey § 3(d): "Bridgeport-Stamford-Norwalk HUD Metro FMR Area"	Three geographies. The recorded 2019 covenant (New Haven-Milford) controls. Premises are in New Haven County	Med.
C6	Commencement of Percentage Rent	TS § 6: "Lease Year 6" (and TS § 5 makes Lease Year 1 = Rent Commencement Date)	Board Res. recital (b): "Year 6 of the Ground Lease term"	A three-year difference (Oct 2031 vs Oct 2033) in when Percentage Rent begins	High
C7	Commencement of the tax abatement	TS § 10: period "shall commence on the Lease Commencement Date"	Client instruction; Board Res. recital (income years); Coventry underwriting	Three construction years consumed before rent commences; abatement value lost (Part 6.2)	High
C8	LOC issuer criteria	TS § 8: rating of A- (S&P) / A3 (Moody's)	Board Res. recital (c): "issued by a federally chartered banking institution"	Different tests; a federally chartered bank need not be A-/A3 rated, and vice versa	Med.

#	Subject	One record says	Another record says	Analysis	Sev.
C9	Form of security deposit	TS § 8 and § 15(d): irrevocable standby LOC only	Bayside § 4: LOC "or, at Borrower's option, a cash security deposit"	Tenant-favourable option exists under the loan but is unavailable under the Term Sheet	Low
C10	Setoff	TS § 5: Base Rent payable "without demand, setoff, or deduction except as expressly provided"	TS § 16 (Tenant remedies): Tenant may "offset amounts due against Base Rent"	Internal conflict in the same instrument; must be reconciled expressly (Draft § 4.6)	Med.
C11	Whether reverter termination is automatic	TS § 9: Lease "shall automatically terminate upon the expiration of such period"	Bayside § 5.4: "No termination ... shall be effective unless and until Lender has received such notice and the applicable Lender cure periods ... have expired without cure"	Direct conflict. A self-executing termination would defeat the lender cure rights that are a condition of the loan	Crit.
C12	Scope of the reverter	TS § 9: reverter only for Milestone 1 and Milestone 3	TS § 16 (Landlord remedies): "exercise the reverter rights described in Section 9" upon any uncured Event of Default	Would extend forfeiture to bankruptcy, monetary defaults and everything else	Crit.
C13	Treatment of the mechanics' lien	TS § 13: listed as Permitted Exception No. 6	TC Req. 7: "The Company will not issue either policy ... until this requirement has been satisfied". Bayside § 6(c): no exceptions other than those approved by Lender	The lien cannot be a Permitted Exception if the policy will not issue over it. It must be discharged	High
C14	ROFR carve-outs	TS § 11 and Draft § 11.5: no ROFR for mortgagee transfers, affiliates or change of control	Recorded Declaration (Sept. 8, 2019, Vol. 405, Pg. 55), per TC Ex. 4: "does not by its terms contain any exception or carve-out for transfers resulting from foreclosure, deed-in-lieu ... or assignments by a leasehold mortgagee"	A recorded instrument binds regardless of the lease. Must be amended of record before closing	High
C15	Ground-floor residential use	TS § 4: Project includes "ground-floor residential lobby and amenity spaces (fitness center, package room, resident lounge, and leasing office)" and permits "residential apartments"	ELUR and Phase II § 2.3(a): prohibition on residential use on the ground floor; Phase II expressly flags that the ELUR "does not define or specifically address" lobby/amenity space	Live enforcement and permitting risk; unresolved in the record	High
C16	Affordable housing unit count	TS § 4(a): tower contains "a number of residential dwelling units to be determined and specified in the Definitive Lease"	15% covenant applies to "all residential dwelling units" (TS § 4; recorded 2019 covenant)	The 15% obligation cannot be quantified, scheduled or monitored until the unit count is fixed	Med.
C17	Affordable covenant enforcement gaps	TS § 4 and Board Res. § 2(b) assume a complete covenant	TC Ex. 5 notes the recorded covenant omits (i) a recalculation method, (ii) income verification, (iii) a monitoring entity, (iv) enforcement remedies, (v) distribution requirements, (vi) floor/location rules	Six gaps; the lease must fill them (Draft § 14.5)	Med.
C18	Flood insurance standard	TS § 12(d): "in no event less than the maximum coverage available under the National Flood Insurance Program"	Bayside § 6(h): flood insurance "in amounts satisfactory to Lender"	NFIP maximum (residential $250,000 building / $100,000 contents; commercial $500,000 / $500,000) is a fraction of replacement cost. The two standards are incompatible	Med.
C19	Freeboard	TS § 2; TC Ex. 9; Survey: FFE 15 ft NAVD88 (3 ft freeboard)	Phase II §§ 5, 7.5: recommends 4–5 ft freeboard (FFE 16–17 ft), citing PA 23-167, CIRCA projections and municipal practice	For a 99-year coastal term, 3 ft is likely inadequate; design, insurance and code-change exposure	Med.
C20	Distortion in document dating	Bayside term sheet dated May 28, 2025	Bayside § 5 refers to the Ground Lease "the term sheet for which is dated June 10, 2025"	A May document cites a June document. Suggests Bayside updated its requirements form after circulation; confirm the operative version	Low
C21	Loan term against development program	Bayside § 2: 48 months, plus two 6-month extensions (maximum 60 months). Coventry completion guaranty: lien-free completion "on or before the Initial Maturity Date"	TS § 9: Milestone 3 at 60 months; Milestone 4 at 84 months	Phase 1 completion coincides with maximum loan maturity; Phase 2 has no construction financing at all; Coventry's guaranty matures a year before the Phase 1 milestone	High
C22	Renewal/extension	TS § 3: "No renewal options are contemplated"	Bayside § 5.3: New Lease for "the remainder of the original term (including any extension periods)"	No extension periods exist. Immaterial as drafted, but relevant to any extension option we negotiate	Low

#	Subject	One record says	Another record says	Analysis	Sev.
C23	Status of the 2019 recorded declarations	TS § 13 lists the ROFR and affordable covenant as Permitted Exceptions "as described in Section 11" / "Section 4" as though created by the Term Sheet	Both are pre-existing recorded instruments (Vol. 405, Pg. 55; Vol. 408, Pg. 230, both 2019)	The lease cannot create or amend them; they must be incorporated, conformed or amended of record	Med.
C24	Diligence windows against the closing schedule	Survey field date April 20, 2025 / plat April 28, 2025; TC effective June 1, 2025, expiring December 1, 2025	Bayside § 6(d): survey dated within 90 days of closing; § 6(a)–(c): current commitment and policies	For any closing after July 19, 2025 the survey is stale. The commitment expires before a December closing	Med.

Three of these conflicts (C11, C12, C13) would each by itself prevent the loan from closing. Two more (C1, C14) sit in the title chain and will surface at the title company's desk regardless of what the lease says. We have resolved each in the Draft Lease as described in the last column of the table and in Part 6; where the resolution requires a recorded amendment or a third party's action, the Draft Lease makes it a condition precedent rather than a covenant to be performed later.

4.2 Bayside § 5 gap analysis: the Term Sheet does not satisfy the loan conditions

Bayside's § 5 lists seven required ground lease provisions and states that "every one of which shall constitute a condition precedent to the closing of the Loan." We compared each against Term Sheet § 9 and the rest of the record. **None is satisfied in full.** Four are not addressed at all; three are addressed only in part.

Bayside requirement	What the Term Sheet says	Gap	Status	Draft Lease §
§ 5.1 Leasehold mortgage without consent, approval, joinder or fee	TS § 9: Tenant "shall have the right to encumber ... subject to the terms and conditions of the Definitive Lease"	No express no-consent / no-fee / no-condition language; "subject to" invites a later consent right	Not met	§ 9.1
§ 5.2 SNDA containing items (a)–(d), delivered before first advance	TS § 9: SNDA "on customary terms," form attached as exhibit	"Customary" is not a standard a lender's counsel will accept; items (a)–(d) not specified; recording not required	Partial	§ 9.9; Ex. F
§ 5.3 New Lease: request within 60 days of notice of termination; remainder of original term; Landlord to execute within 30 days; effective as of termination; priority equal to terminated lease; subleases recognized; non-monetary cure up to 180 days	TS § 9: mortgagee may obtain a New Lease on "substantially the same terms"; cure monetary within 60 days and non-monetary within 90 days "following the date of termination"	No request window; no statement that the term is the **remainder** of the original term; no 30-day execution obligation; no effective-date, priority or sublease-recognition provision; no 180-day non-monetary cure tail	Not met	§ 9.6
§ 5.4 Notices simultaneous; lender cure 60 days (monetary) / 90 days (non-monetary); "in addition to, and not concurrent with" Tenant's cure periods; Landlord to accept lender cure	TS § 9 (Default Notices): copies delivered simultaneously with Tenant	Simultaneous notice only. **No lender cure periods at all**, and no non-concurrency clause — the essential protection	Not met	§§ 9.3, 9.5
§ 5.5 No voluntary surrender **and no material amendment** without lender consent; void as against Lender	TS § 9: "No Voluntary Surrender" bullet only	Amendment/modification/ supplement restriction and the voidness remedy are absent	Partial	§ 9.4
§ 5.6 Foreclose and assign without consent; qualified transferee; Landlord to execute documents reasonably requested	TS § 9: foreclosure and assignment permitted "provided that any such transferee meets reasonable financial and experience qualifications to be established in the Definitive Lease"	Qualification criteria left open (a lender wants objective tests); no duty to execute documents; no recognition deadline	Partial	§ 9.7
§ 5.7 Bankruptcy protections: request to assume/reject under 11 U.S.C. § 365; lender right to cure and provide adequate assurance; New Lease survives rejection	Term Sheet: **silent**. § 16(d) treats a bankruptcy filing as an Event of Default	Absent entirely. As drafted, a Tenant bankruptcy is a default with no lender protection	Not met	§ 9.8

Implication. Bayside will not close on the Term Sheet's language. Sandra Milliken's team will redline the Draft Lease to its checklist in any event; the point of getting it right now is that the redline will not then arrive at the same time as the title objection

and the Board approval cycle. The Draft Lease's Article 9 is deliberately drafted to meet or exceed each of § 5.1–5.7, and to be equally acceptable to a future refinancing lender (no fee, no consent, unlimited mortgagees, no cap on refinancings, protections running to "each Leasehold Mortgagee"), which is what Ansel needs for institutional-quality status.

Your specific asks in this area were four: reverter subordination to the leasehold mortgage; 180 days' independent lender cure for milestone defaults; New Lease surviving reverter termination; and no reverter before the lender's cure period is exhausted. All four are in the Draft Lease (§§ 9.5(c), 9.6, 10.5(g), 10.6(e)). Note that neither the Term Sheet nor Bayside's own § 5.4 provides a lender cure period calibrated to milestone defaults — Bayside's 90-day non-monetary period assumes a curable default, and a missed completion milestone is not curable by writing a check. The 180-day period in Draft § 9.5(c), running from the expiry of Tenant's own 180-day cure period (i.e., a theoretical 360 days from the Authority's notice), is a provision we are adding for both parties' benefit: without it, a lender facing a milestone default could only foreclose into a forfeiture, which no lender will do.

PART 5 — THE REVERTER AND IMPROVEMENT FORFEITURE: "THE HILL"

5.1 What the record actually provides

Term Sheet § 9 provides that if Tenant fails to achieve Milestone 1 or Milestone 3 (as extended), the Authority may deliver a notice specifying the failure; Tenant then has 180 days to cure; and "the Lease shall automatically terminate upon the expiration of such period," whereupon (a) Tenant forfeits the $5,700,000 letter of credit, which the Authority "shall be entitled to draw in full," and (b) "[a]ll improvements, structures, and fixtures constructed, installed, or placed on the Premises by Tenant ... shall immediately revert to and become the sole property of the Landlord, free and clear of any claims by Tenant, without any payment, compensation, or reimbursement to Tenant."

Four features of that drafting deserve to be named, because each is a separate problem:

- **It is automatic.** Termination occurs by operation of the expiry of the cure period, without any election, notice or grace. That is the feature that collides head-on with Bayside § 5.4 (conflict C11).
- **It is not limited to milestones.** Term Sheet § 16 lists "exercise the reverter rights" as a general remedy for any uncured Event of Default, which would extend forfeiture to a monetary default, a bankruptcy filing or an insurance lapse (conflict C12).
- **It double-counts.** The Authority takes both the deposit and the improvements. The deposit is already 24 months of Base Rent; the improvements may be worth fifty times that.
- **It purports to extinguish the mortgage.** "Free and clear of any claims by Tenant" cannot, as a matter of recorded priority, extinguish a leasehold mortgagee's interest, and Bayside will not treat it as doing so. But it is exactly the language that makes the leasehold mortgage unmarketable, because the lender's only remedy — foreclosure into the leasehold — leads to the forfeiture it was lending against.

The Board has been told that the lease will contain "reverter rights in favor of the Authority in the event of Tenant's failure to achieve such milestones" (Resolution No.

2025-047, § 2(a)). The Draft Lease preserves a reverter. What it removes is the uncompensated forfeiture. That distinction is the single most important framing point in the negotiation, and it is accurate: the Authority still gets the land back, still gets the improvements, and still gets a defined remedy.

5.2 Exposure, quantified

Component	Amount	Timing	Source
Security deposit forfeited	$5,700,000	On reverter termination	TS § 9(b); TS § 8
Improvements forfeited	$200,000,000 – $300,000,000	By Milestone 3 (October 1, 2030)	Your June 15 email; consistent with $352,000,000 total hard costs and Phase 1 being the residential tower plus retail
Total forfeiture	**$205,700,000 – $305,700,000**	Single milestone miss	Computed
Authority's actual damages on a 24-month slip of Milestone 3	≈ $5,700,000 – $7,300,000	24 months of Base Rent at the then-current rate	Computed from TS § 5 schedule
Ratio of forfeiture to damages	≈ 28× to 54×	—	Computed

The final row is the heart of the matter. On a two-year slip in achieving Substantial Completion of Phase 1 — a slip that a DEEP approval, a coastal permitting appeal or a supply-chain failure could produce — the Authority's genuinely compensable loss is on the order of two years of ground rent, because Base Rent is the only thing it was going to receive in that period (and Percentage Rent does not begin until Lease Year 6). The provision delivers it between $206 million and $306 million. That is not a remedy proportioned to the harm; it is a transfer of the entire project.

5.3 Is it enforceable? Our assessment, and its limits

You asked us to research whether Connecticut law provides relief against a disproportionate forfeiture, and you recalled a "Stamford project" case. **We have not verified a Connecticut case on point, and we should not cite one until we have.** What follows is our assessment of the governing principles and of the risks on both sides; Part 7 identifies the research that must be completed before any of this is put in front of Mr. Koss or the Board.

The argument for Tenant

The provision has two doctrinal vulnerabilities. **First, penalty.** A contractual term that fixes damages in an amount grossly disproportionate to the loss that the parties could reasonably have anticipated is an unenforceable penalty rather than a valid liquidated damages provision. The Restatement (Second) of Contracts states the rule at § 356(1), and Connecticut follows the general rule. On the numbers in Part 5.2 above, the disproportion is on the order of 28× to 54×, which is well outside any range a court is likely to accept as a forecast of harm.

Second, forfeiture. Equity relieves against forfeiture where the forfeiture would be disproportionate to the breach and the injured party can be adequately compensated (Restatement (Second) of Contracts §§ 208, 229; the Restatement (Third) of Property (Landlord and Tenant) treats forfeiture as a disfavoured remedy). A 99-year ground lease under which a tenant invests $425 million on land it does not own is the paradigm case for the application of that principle, and the Authority's own internal documents describe the public benefits it expects to receive from the completed project.

Third, and practically most important: the leasehold mortgagee's interest is a separate property interest. A provision that purports to wipe it out "free and clear of any claims" will be tested against a lender with $285 million at stake and its own counsel. Whatever the outcome, the Authority would be litigating against a secured creditor with priority, not merely against Meridian.

The argument against Tenant — and why we must not rely on the defense

There are two credible counter-arguments, and you should hear them clearly. **(i) Forfeiture of a leasehold is different.** Courts have traditionally enforced conditional limitations and forfeiture clauses in leases more readily than they strike liquidated damages clauses in ordinary commercial contracts, on the theory that the landlord's reversion is a property right and the tenant takes subject to the condition. **(ii) Sophisticated parties, public landlord.** The Authority will argue that Meridian is a sophisticated developer that negotiated a public-benefit-laden ground lease with counsel, that the milestones are public obligations, and that a court should not rewrite the bargain that a public body obtained for public land.

So the provision might well be enforced. That is precisely why an unenforceability argument is not a strategy: Bayside will not lend $285 million against a litigable defense, and by the time the question is answered, the project will have failed. The provision must be fixed in the document. If the Authority's counsel argues that the provision is enforceable and therefore need not change, the answer is that the Authority is welcome to that view but that no institutional lender will accept it, and the transaction will not close.

> **Research status — do not cite yet.** The legal propositions in this section are stated at the level of restated general principle, not as verified Connecticut authority. The "Stamford project" case you recalled could not be identified from the record and we have not located it. Before any of this is used in a letter, at the Board table, or in a brief, we must (i) locate and Shepardize Connecticut appellate authority on penalties and on relief from forfeiture in leases, (ii) confirm whether a Connecticut court would treat the reverter as a conditional limitation enforceable according to its terms, and (iii) confirm the effect of the leasehold mortgagee's intervening interest. Item 7.1 of Part 7.

5.4 What the Draft Lease does

The reverter is a defined, sequenced, compensated remedy. Mechanically, the Draft Lease:

- **Retains the reverter** for Milestone 1 and Milestone 3 only, and expressly confines it there: failure of Milestone 2 or Milestone 4 gives no remedy beyond notice and consultation (§ 3.5), and the Milestone remedy is Landlord's "sole and exclusive remedy" for a milestone default (§ 10.3).
- **Removes automatic termination** (§ 10.5(f)), substituting a valid notice, a 180-day Tenant cure period, a 180-day lender cure period, and a 30-day election window — after which the Authority is deemed to have waived that milestone default (§ 10.5(e)). Waiver matters: it prevents an Authority from sitting on a stale default for years and then terminating.
- **Requires the Improvement Payment** (§ 10.6(a)): the greater of the appraised fair market value of the Improvements or Tenant's unreimbursed hard costs, less insurance and condemnation recoveries not applied to restoration, less Landlord's Documented Damages. That is your option (a) and your option (b) from the June 15 email, in the alternative rather than the conjunctive, with the higher of the two governing.
- **Caps the Authority's damages** (§ 10.7) at accrued rent, 24 months of Base Rent at the then-current rate, re-letting costs and enforcement costs, and

excludes lost Percentage Rent, lost tax revenue, the value of the Improvements, and consequential and speculative amounts.

- **Follows the compensation with real teeth** (§ 10.6(c)): the Improvement Payment is due within 60 days, may be secured by a first lien on the Improvements at Tenant's election, and the Authority may not take possession or lease the Improvements to a third party until it has paid or secured.
- **Makes the reverter subordinate** to the leasehold mortgage and conditional on the lender's rights being exhausted (§ 10.5(g)), which is the Term Sheet change Sandra Milliken requires.
- **Keeps the Authority whole on the public side** (§ 10.6(f)): on any reverter the Authority takes subject to the ELUR, the affordable housing covenant, all subleases and the open-space obligation — which is what the Authority actually wants, since it will be the owner of an operating building.
- **Adds a paid escape valve** (§ 3.4(d), bracketed): Tenant may buy 6-month extensions of Milestone 1 or 3 rather than face forfeiture. For a landlord, an extension fee is a certain receipt; for a tenant, it is a way to survive a permitting overrun. It is often the provision that lets both sides sign.

Two further protections are worth flagging for your call: the appraisal mechanic (§ 10.8) uses two MAI appraisers and a third if they differ by more than 5%, with the valuation made disregarding the remaining term and the reversion — which prevents the Authority from arguing that a 99-year leasehold is worth little. And § 10.5(h) bars termination for a Milestone 3 miss if Substantial Completion has actually been achieved.

5.5 How to sell it to the Authority

The Authority's counsel will treat the reverter as a deal point it cannot give up, because the Board resolution recites it. The argument that has the best chance of moving them is not proportionality rhetoric; it is the following, in this order:

- **An unenforceable remedy is worth nothing.** If a court strikes the forfeiture as a penalty, or relieves against the forfeiture, the Authority is left with a lease still in force, a tenant it wants to remove, and no remedy at all. A compensated reverter is a remedy a court will enforce.
- **The lender is the reason.** The Authority's own recital records that the ground lease must contain provisions satisfactory to the construction lender (Resolution recital). Bayside has said in terms that the reverter as written would jeopardize the leasehold mortgage. The Authority cannot have both an uncompensated reverter and a $285 million construction loan.
- **The Authority still gets the building.** On a reverter at 95% complete the Authority acquires a nearly finished residential tower and retail podium, subject to a defined payment that is largely funded by the value of the asset it is receiving. It is not paying $300 million; it is paying the appraised value out of the asset it keeps.
- **The Authority's real leverage is elsewhere, and we will give it that leverage.** If the Authority wants enforcement teeth, we will trade: extension fees and delay charges payable to the Authority; a step-up in Base Rent during any period of milestone delay; Board reporting on construction progress; a right to approve a replacement developer; and the 180-day cure running from the Authority's notice rather than from any later event. Those are teeth that bite without destroying the collateral.

Walk-away position. If the Authority will not move on compensation, the minimum acceptable outcome is: (i) no forfeiture of the Improvements where Phase 1 is more

than 50% complete; (ii) no forfeiture for delay caused by permitting, DEEP or coastal approvals, or by the Authority's own acts; (iii) no forfeiture while a lender is curing; (iv) the deposit applied to actual damages with the excess returned; and (v) the Improvement Payment limited to hard cost reimbursement net of recoveries and damages. If none of that is available, the transaction should not proceed, because the loan will not close.

PART 6 — OTHER SUBSTANTIVE ISSUES, ANALYZED

6.1 Percentage rent: the Breakpoint is a fixed number in a 99-year lease

Term Sheet § 6 fixes the Breakpoint at $28,500,000 and states that it "is a fixed dollar amount and shall remain unchanged for the duration of the Lease Term." Base Rent, meanwhile, escalates at 2.5% compounded for 15 years and then resets on a CPI floor at each tenth anniversary. The consequence is arithmetic, not argument:

Model: Base Rent escalated at the 2.5% floor; Breakpoint held at $28,500,000; deflated at the same 2.5%.

Lease Year	Base Rent (2.5% floor)	Fixed Breakpoint	Breakpoint ÷ Base Rent	Breakpoint in Year-1 dollars
6	$3,224,513	$28,500,000	8.84×	$25,189,847
16	$4,127,650	$28,500,000	6.90×	$19,678,268
26	$5,283,741	$28,500,000	5.39×	$15,372,632
36	$6,763,635	$28,500,000	4.21×	$12,009,075
46	$8,658,024	$28,500,000	3.29×	$9,381,471
56	$11,083,003	$28,500,000	2.57×	$7,328,790
66	$14,187,181	$28,500,000	2.01×	$5,725,239
76	$18,160,791	$28,500,000	1.57×	$4,472,547
86	$23,247,348	$28,500,000	1.23×	$3,493,947
96	$29,758,571	$28,500,000	0.96×	$2,729,466

Read the last two columns together. By **Lease Year 96 the fixed Breakpoint is smaller than Base Rent** — so Percentage Rent is payable on essentially every dollar of gross revenue above the rent roll's own fixed charge, i.e. it becomes a 2% tax on gross receipts. And in real terms the Breakpoint has decayed to **$2.73 million**, which is below today's Base Rent of $2.85 million. In other words, the mechanism the parties agreed to as a share of upside becomes, within one lifetime, a charge larger in real terms than the ground rent that existed when the deal was struck. That is your worry, and it is well founded.

There is a second, separate problem. Because both limbs of the reset formula are computed from the *initial* Base Rent rather than from the then-current rent, Base Rent is flat within each ten-year band and then jumps by the whole cumulative index in one step. At 2.5% inflation, each reset after Year 16 is a **28.0% single-year increase**; at 3.5% inflation the Year 16 step is +30.9%, and at 4.5% it is +51.2% (Appendix 2). Step increases of that size do not merely look arbitrary; they will trip debt service coverage tests at each refinancing, which is an institutional-quality problem for Ansel as well as for us.

What the Draft Lease does. Section 5.3 resets the Breakpoint at each Rent Reset Date so as to preserve the Lease Year 6 ratio of Breakpoint to Base Rent (8.84×). That is the single change that keeps the mechanism doing what both sides intended in Year 60 as in Year 6, and it is easy to explain: *the percentage rent shares revenue growth above the rent growth the landlord is already capturing.* We have also flagged, in a bracketed note in Section 4.4, an alternative rent mechanic — annual CPI adjustment

with a 0% floor and a 4% ceiling — which removes the reset cliffs without changing the long-run economics. Both are Tenant positions; expect the Authority to resist the Breakpoint indexation first and the collar second. Our fallbacks are set out in the note to Section 5.3 (CPI-only indexation; a declining rate; or a cap on Percentage Rent at 25% of Base Rent).

Gross Revenues. Your instruction was to define this tightly, and the Draft Lease does. Section 5.2 is drafted as an exhaustive inclusion list plus fifteen exclusions, and it omits the Term Sheet's open-ended "all rents, fees, charges, and other income of every kind" formulation. The exclusions cover everything you listed — security deposits, utility reimbursements, insurance proceeds, condemnation awards, CAM and other pass-throughs, interest on reserves, loan proceeds, capital contributions, free rent and concessions, amounts billed but not collected, sales taxes collected and remitted, the value of the tax abatement, and at-cost service charges. We also changed three mechanics that would otherwise create disputes: cash basis rather than "GAAP consistently applied" (GAAP straight-lining would manufacture revenue that has not been collected), **project-level only** (so consolidated affiliate income is out of scope), and a 24-month audit look-back with a 12-month audit window, a confidentiality undertaking, and no contingency-fee auditors.

6.2 Tax abatement: three separate problems, one of which is not curable by the lease

You asked us to make sure the abatement applies during the income-producing years. There are three distinct issues, in ascending order of seriousness.

(a) Measurement base. The percentages (25% / 50% / 75%) are applied to "the full post-development assessed value," and the Term Sheet then illustrates the result using $178,000,000. We have drafted the clause to apply to the assessed value the Assessor *actually* determines (Section 6.6), with the $178,000,000 figures expressly illustrative. You do not want to be locked to a $178,000,000 base if the Assessor comes in at $200,000,000, nor does the Authority want to be locked to it if the Assessor comes in lower; the percentage mechanic is the deal, not the dollar projection.

(b) Starting date — this is the timing point you raised. Term Sheet § 10 provides that the 15-year period "shall commence on the Lease Commencement Date," i.e. October 1, 2025. But the improvements will not be on the grand list until they are substantially complete, around October 2030. On that structure, **five of the fifteen years are consumed before the asset exists**, and the 25% band — the most valuable band — covers a period in which the property is assessed as vacant land. On our computation the nominal value of the abatement is $46,391,250 over fifteen years; on the Term Sheet's structure a significant part of that is simply unattainable. Section 6.7 re-anchors the period to the later of the Rent Commencement Date and the first fiscal year in which the completed Improvements are reflected in the assessment. Expect this to be the hardest of the three to obtain, because the City may have its own fiscal-year constraints; it is nevertheless the single highest-value, lowest-visibility change in the document, and Coventry's model depends on it.

(c) The obligor is not a party to the lease. The abatement is granted and administered by the City of Port Calloway, not by the Authority; the Board resolution itself contemplates "a separate tax abatement agreement between Meridian and the City of Port Calloway." The Authority therefore cannot grant the abatement, and a covenant by the Authority to provide it is worth only what the Authority's influence with the City is worth. Section 6.9 obliges the Authority to use diligent efforts and to join in all applications and hearings, and Section 2.3(f) makes execution of the Tax Abatement Agreement a condition precedent to Lease Commencement. But the protection you actually need is a financial backstop, so Section 6.8 provides one: if the

abatement is not implemented, is reduced or is repealed for any reason not attributable to Tenant, Tenant receives a dollar-for-dollar credit against Base Rent for the excess taxes. That converts a political risk into a rent adjustment, which is a risk the Authority controls and can therefore price.

> **Not curable in the lease.** We have not verified the City's statutory authority to grant a fifteen-year, three-tier abatement. Connecticut's tax-abatement statutes impose term limits and procedural requirements (public hearing, legislative-body approval), and different provisions apply in different contexts, including urban renewal and redevelopment areas. If the fifteen-year structure is outside the City's authority, or if the required hearing is not held, the pro forma does not work and no amount of lease drafting fixes it. **This should be confirmed with Connecticut municipal finance counsel before the Board votes**, not after. Item 7.2 of Part 7.

6.3 ELUR: the ground-floor residential prohibition against a ground-floor residential program

The ELUR prohibits residential use on the ground floor of any structure on the Premises because near-surface soils exceed the Residential Direct Exposure Criteria. The Term Sheet describes the Project as including "ground-floor residential lobby and amenity spaces (fitness center, package room, resident lounge, and leasing office)" and permits "residential apartments" without a floor restriction. Halcyon addressed the tension directly and did not resolve it: the ELUR defines residential use as "habitable space at or below finished grade elevation intended for residential dwelling, sleeping, cooking, or eating purposes" and "does not define or specifically address non-habitable spaces such as building lobbies, mail rooms, fitness centers, package rooms, leasing offices, or common amenity areas." Halcyon's recommendation is a formal DEEP interpretation or variance before the design is finalized.

This matters in three ways that are easy to miss. **First, permitting.** DEEP approval is on the critical path to Milestone 1, and an ELUR enforcement question can stop a building permit. **Second, the milestone clock.** If DEEP's interpretation requires a redesign of the ground floor, the delay will count against Milestone 1 (18 months) unless it is expressly treated as a force majeure event or a permitting delay — which is why Section 7.8(b) and Section 3.4 say so. **Third, cost allocation.** An ELUR modification application is expensive, and it is expensive because of a pre-existing condition the Authority created and disclosed in 2018, not because of anything Tenant did. Section 7.8(a) puts that cost on the Authority.

There is a helpful physical fact in the record that the parties should not lose: the project's ground floor will be at **finished floor elevation 15 feet NAVD88**, while existing site grades run from approximately 10.2 to 14.8 feet NAVD88 and the BFE is 12 feet. On the ELUR's own definition (space "at or below finished grade elevation"), a slab at 15.0 feet is above grade across essentially the whole site. That is a strong argument that the ground floor is not within the restricted zone at all — but it is an argument, not a determination, and DEEP has not been asked. Section 7.8(c) records the point for use in the application.

Two related ELUR obligations that appear nowhere in the Term Sheet and are now in the Draft Lease: the ELUR's prohibition on potable water supply wells (Section 7.7(e)), and the annual ELUR compliance certification to DEEP (Section 7.7(f)). The latter raises an allocation question the Term Sheet does not answer: the certification is required of the "owner, operator, or designee," and the fee owner is the Authority. Section 7.7 obliges the Authority to join in any filing requiring the fee owner's signature within ten business days. Finally, note the interaction between the 24-inch engineered barrier and the 8,000 square feet of public open space: landscaping and tree planting over a capped area is constrained by both the barrier specification and

the prohibition on ground disturbance below two feet without a DEEP-approved Soil Management Plan (Section 14.4, final sentence).

6.4 Remediation: the $2.4 million estimate is not a cap, and Tenant bears every dollar above it

Term Sheet § 7 provides a fixed $1,800,000 credit and makes Tenant responsible for the $600,000 balance **and for "any actual remediation costs in excess of the $2,400,000 estimate."** Because the credit is fixed, Tenant keeps the benefit if costs come in lower and absorbs the whole of any overrun. Three observations.

First, the estimate has arithmetic problems (Part 2.6): the contingency lines labelled "10%" are 5.71% and 4.76%. If 10% is intended, the total is $2,502,500 and Tenant's residual is $702,500 rather than $600,000.

Second, and much more seriously, the estimate almost certainly does not cover the excavation the project actually requires. Halcyon's estimate assumes excavation of the two delineated areas: 933 cubic yards in Area 1 and approximately 600 in Area 2 — about 1,533 cubic yards of contaminated soil, priced on a material handling volume of about 3,700 cubic yards. But the Term Sheet's project description includes "structured and/or below-grade parking," and a below-grade parking structure across any meaningful part of a 139,392 square foot site generates a different order of magnitude:

Excavation footprint	Depth	Soil volume	Multiple of the 1,533 CY of delineated contamination
20,000 SF	12 ft	8,889 CY	5.8×
40,000 SF	12 ft	17,778 CY	11.6×
60,000 SF	12 ft	26,667 CY	17.4×

Every cubic yard excavated below the cap must be handled under a DEEP-approved Soil Management Plan, and much of it will require characterization, stockpiling, testing and — where it is or may be impacted — licensed disposal. The estimate does not address this, and the ELUR separately prohibits excavation below the engineered barrier without DEEP's written approval, which is itself a schedule item for Milestone 1. On the record before us, the probability that Tenant's remediation cost exceeds $2.4 million is high, and the excess is 100% Tenant's under the Term Sheet.

Third, the contamination is the Authority's legacy. The Premises were a ship repair and dry dock facility from 1942 to 1987; the Authority acquired the land by condemnation in 2012, performed a partial remediation in 2016–2017, and recorded the ELUR in 2018. Tenant did none of it. Section 7.4(c) therefore draws the line where it belongs: Tenant bears the cost of remediating the two areas the Phase II delineated, and Landlord bears the cost of a Pre-Existing Environmental Condition that was *not* identified, delineated or quantified — undiscovered contamination, contamination beyond the delineated depths, off-site migration, groundwater and sediment impacts, and any DEEP-imposed requirement not contemplated by the Phase II. Section 7.5 adds a full Landlord indemnity for Pre-Existing Environmental Conditions, running to Tenant, its members, its agents and each Leasehold Mortgagee. Section 7.6 caps Tenant's reciprocal indemnity. Together these are the most important economic protections in Article 7 after the credit itself, and they are the provisions most likely to be resisted; expect the Authority to offer a smaller version of § 7.4(c), such as a shared overrun above a threshold. A 50/50 sharing above $2.4 million would be an acceptable landing zone.

One further point on the credit mechanics, which you asked us to make unambiguous. Section 7.2 states the waterfall as a table (months 1–7 at zero, month 8 credit

$137,500 with $100,000 payable, month 9 onward full rent), confirms that the credit is not reduced by any other credit or abatement, allows unabsorbed credit to be applied against other Rent or paid in cash, and — the provision that was missing — requires Landlord to **pay any unapplied balance in cash if the lease ends before the credit is exhausted**. Without that last sentence, an early termination (say in month 3) would forfeit roughly $962,500 of credit that Tenant had effectively paid for through its remediation work.

6.5 Bulkhead: an unquantified structural liability inside a triple-net lease

Halcyon inspected approximately 480 linear feet of bulkhead and found it in "fair to poor condition," with lateral displacement, longitudinal and transverse cracking, deteriorated and missing timber lagging, and erosion of backfill. The survey adds spalling of the concrete cap, corrosion of the sheet piling, and "evidence of partial demolition activity ... consistent with work reportedly performed by Calloway Marine Demolition Inc.," including removal of approximately 40 linear feet of concrete cap. Halcyon recommends an independent structural engineering assessment and expressly excludes bulkhead repair or replacement from its $2.4 million cost estimate. The Term Sheet says nothing about the bulkhead at all.

Under a triple-net ground lease, and again under the surrender obligation in Term Sheet § 18 ("good condition, reasonable wear and tear excepted"), that liability lands on Tenant — for an asset that was already deteriorated when the Authority delivered it and that the Authority's own contractor partially demolished in 2025. Section 2.9(b) requires the Authority to commission and pay for the structural assessment before Lease Commencement, and Section 14.3 offers the alternative allocation (Authority repairs, or Tenant repairs with a dollar-for-dollar rent credit), with an express carve-out from Tenant's maintenance obligation for any pre-existing structural deficiency documented in the assessment. We recommend obtaining the assessment **now**, before the lease is negotiated, because the size of the number will determine which allocation is realistic. Note also that bulkhead work will require coastal permits (Structures, Dredging and Fill; tidal wetlands) and City cooperation, and that the bulkhead sits at or near the pedestrian access easement, whose terms prohibit permanent structures — Section 14.3(d) addresses both.

6.6 The mechanics' lien: the Term Sheet cannot make it a Permitted Exception

A $187,500 mechanics' lien was filed on April 3, 2025 by Calloway Marine Demolition Inc. against the Authority's fee interest (Vol. 418, Pg. 302) for bulkhead demolition work. Term Sheet § 13 lists it as Permitted Exception No. 6 — that is, the lease would insure subject to it. The title commitment says the opposite in terms: "The Company will not issue either policy described in Schedule A until this requirement has been satisfied," and until then "Exception No. 6 shall remain as an exception to coverage." Requirement No. 7 offers three routes — discharge, a bond under Conn. Gen. Stat. § 49-37, or an indemnity from the fee owner. Bayside § 6(c) separately requires that all exceptions be reviewed and approved by the Lender.

The lien arises from work performed for the Authority, on the Authority's fee, before Tenant had any interest. Tenant should not pay it, insure over it, or accept it. Section 2.9(a) puts the obligation on Landlord at its sole cost, and Section 2.3(h) makes discharge or bonding a condition precedent. There is also an unresolved question worth asking: the demolition work that generated the lien is the same work that removed 40 feet of bulkhead cap. The Authority should be asked whether it has a claim against the contractor, and whether the lien is being defended rather than simply paid — because if the contractor's work is the cause of the bulkhead damage described in Part 6.5, that is a cost the Authority should bear twice over.

6.7 The recorded right of first refusal will bind regardless of what the lease says

Term Sheet § 11 creates a ROFR for the first twenty years, with no carve-out for Leasehold Mortgagee enforcement. But there is also a **recorded** Declaration of Right of First Refusal dated September 8, 2019 (Vol. 405, Pg. 55), and the title commitment tells us exactly what it does not contain: it "does not by its terms contain any exception or carve-out for transfers resulting from foreclosure, deed-in-lieu of foreclosure, the exercise of remedies by a leasehold mortgagee, or assignments by a leasehold mortgagee or its designee following a foreclosure or acceptance of a deed-in-lieu," and it "is binding upon the Tenant and all successors and assigns."

That is a direct collision with Bayside § 5.6 (unconditional right to foreclose and assign without Landlord's consent) and with the 100% membership-interest pledge Bayside requires under § 4. A lease provision cannot cure it; only a recorded amendment can. Section 11.5 of the Draft Lease narrows the ROFR in four ways (direct assignments for value only; no ROFR for Permitted Transfers, mortgagee transfers, recapitalizations or New Leases; acquisition subject to the leasehold mortgage and requiring the mortgagee's consent or payoff; lapse if the Authority elects but fails to close) and the drafting note records that the recorded Declaration "must be amended of record" before Lease Commencement. Exhibit B, Part 4 describes the permitted exception as the Declaration *as so amended*.

There is a secondary point in your instruction that the ROFR should not "interfere with the financing or any future recapitalization." Term Sheet § 11's Affiliate definition is reasonably broad, but it captures control, not economic interest, so a Coventry-led recapitalization in which Coventry's fund brings in a new institutional partner and Meridian's sponsorship interest is diluted could be argued to be a non-Affiliate transfer. Section 11.3 addresses this with a ten-item Permitted Transfers list including transfers of direct or indirect ownership interests, pledges and foreclosures of membership interests, buy-sell and drag-along exercises, transfers to Coventry vehicles, and a 20% look-through test. Section 11.7 then states expressly that no change of control is an assignment. We recommend confirming that list with Ansel, because it is his exit path that is being protected.

6.8 Security deposit: two ambiguity traps and a conflict

The amounts are right (24 × $237,500 = $5,700,000; 12 × $237,500 = $2,850,000), and the step-down concept is standard. Three problems remain. **(a) "Overall occupancy rate of 90%" is undefined in a three-product-type project** — 90% of units, of rentable square feet, of each component, or blended? A project that is 95% leased residentially and 70% leased in the office building is not 90% occupied by any measure the parties will agree on after the fact. Section 8.4(a) defines an Occupancy Rate as rentable square footage leased over rentable square footage completed, tested only against completed buildings, with residential measured on unit net rentable area. **(b) Documentation and timing were missing**; Section 8.4(b)–(c) requires a certified rent roll and officer's certificate, gives the Authority 30 days to object (deemed approved), and requires the amendment or replacement letter of credit within 10 business days. **(c) The "twelve months of the initial Base Rent" characterisation is already stale** — if 90% occupancy is first achieved in, say, Lease Year 8, Base Rent is $268,709 a month and $2,850,000 is less than eleven months' rent. We have drafted the reduction as a fixed $2,850,000 with no reinstatement (Section 8.4(d)), which is the Tenant-favourable reading; the Authority may ask for twelve months of *then-current* rent, which we would resist.

The conflict is the issuer test: Term Sheet § 8 requires an A-/A3 bank; the Board resolution recital describes a "federally chartered banking institution." Section 8.3

accepts either, and Section 8.2 preserves Bayside's own option (§ 4) of a cash deposit. Two further Tenant protections are worth noting: draws are limited to amounts finally determined to be due (Section 8.5), and a failure to renew the letter of credit is not a default until ten business days after notice (Section 8.8). The Term Sheet made non-renewal an immediate Event of Default.

6.9 Insurance: the NFIP "maximum" standard cannot work on this site

Term Sheet § 12(d) requires flood insurance "in no event less than the maximum coverage available under the National Flood Insurance Program or equivalent private market policy." The NFIP maximum for a commercial building is $500,000 ($250,000 for a residential building) plus contents — against a project with a $425 million cost basis sitting entirely within Zone AE. Bayside § 6(h) requires flood insurance "in amounts satisfactory to Lender," which will mean full replacement cost. Section 12.1(f) reconciles the two by requiring NFIP maximum *plus* excess flood or difference-in-conditions coverage to full replacement cost. That is more coverage and more premium than the Term Sheet contemplated; it is also the only version that survives a lender's insurance review, so we recommend raising it with Mr. Koss as a correction rather than a concession.

Two smaller points. Term Sheet § 12 names the Authority as an additional insured on the **all-risk property** policy; an additional-insured endorsement is the wrong instrument for a fee owner's interest (a mortgagee/loss-payee endorsement or a waiver of subrogation is the right one), and Section 12.2 confines the Authority to additional insured on the liability policy. And Phase II recommends a pollution legal liability policy with a term reflecting the length of the ground lease; Section 12.1(e) requires, to the extent available on commercially reasonable terms, multi-year coverage for Pre-Existing Environmental Conditions, with Section 7.9 directing proceeds to the remediation cost.

6.10 Assignment, subletting and the interaction with the loan documents

Three documents impose three regimes: Term Sheet § 11 (consent plus ROFR for non-Affiliate assignments, free subletting), Bayside § 5.6 (foreclosure and assignment without consent) and Bayside § 4 (first-priority pledge of 100% of the membership interests in Meridian). The pledgor's problem is that a foreclosure of the pledged membership interests is a change of control, which a naively drafted assignment clause could read as a prohibited transfer. Section 11.3 resolves it expressly, and Section 11.7 states that no change in ownership or control is an assignment. Section 11.2 preserves subletting freedom, which matters more than it looks: with a 28-story residential tower, a leasing office that cannot sign residential leases without consent is not a leasing office.

6.11 Affordable housing: the covenant is agreed, but it is not yet a workable instrument

You are right that this should not be contentious. But the title commitment's own note identifies six things the recorded 2019 Declaration of Restrictive Covenants does not specify: how the 15% is recalculated if the unit count changes, income verification procedures, a monitoring or enforcement entity, the consequences of non-compliance, whether units must be distributed through the project, and any floor or location rules. Section 14.5 fills all six — with the important overlay that the ELUR's ground-floor restriction means affordable units must be on upper floors (Halcyon says so expressly), which also means the covenant and the ELUR should be read together. Two drafting choices are yours to confirm: the AMI geography (we adopted New Haven-Milford, the geography in the recorded covenant, because the Premises are in New Haven County; the Term Sheet says "Port Calloway MSA" and the survey says "Bridgeport-Stamford-

Norwalk," and at least one of those is wrong), and the remedy (we have limited the Authority to specific performance and injunctive relief, with no default, no reverter and no draw on the deposit — a breach of a 15% covenant should never forfeit a $425 million project).

6.12 Flood resilience: three feet of freeboard for a 99-year coastal lease

All three of the term sheet, title commitment and survey settle on a finished floor elevation of 15 feet NAVD88 — three feet above the BFE of 12 feet. Halcyon recommends 16 to 17 feet (four to five feet of freeboard), citing Connecticut Public Act 23-167 (2023), CIRCA's projections (20 inches by 2050 and up to 80 inches by 2100 under high-emission scenarios), the emergence of four-to-five-foot municipal standards in coastal Connecticut, the fact that roughly 60% of the parcel lies at or below the BFE, and a November 2024 nor'easter that put water at approximately 10.5 feet NAVD88 at this bulkhead. The FIRM panel is dated January 15, 2020 and will be revised during the Term.

Section 15.3 holds 15 feet as the contractual minimum (as negotiated) but permits Tenant to build higher, and Section 15.4 allocates code change over the Term to Tenant with the benefit of any phased-compliance or hardship relief, no rent increase, and a force-majeure/permitting extension for the time needed to obtain relief. Our commercial recommendation is that you evaluate now, not in 2040, whether to build to 16–17 feet: the incremental structural cost on a 28-story tower is small relative to the cost of a later retrofit or of uninsurable ground-floor retail, and it will be far easier to persuade the Authority and Bayside to accept a higher elevation at design stage than to explain a flood claim later.

6.13 The financing does not cover the development program

Two mismatches in the loan documents should be raised with Sandra Milliken before the loan documents are negotiated. **First**, the construction loan has a 48-month term with two 6-month extensions — a maximum of 60 months — while Milestone 3 (Phase 1 substantial completion) is set at 60 months and Milestone 4 (the office building) at 84 months. Phase 2 is therefore unfinanced, and Phase 1 completion coincides with final maturity rather than preceding it. **Second**, Coventry's completion guaranty under Bayside § 4 guarantees lien-free completion "on or before the Initial Maturity Date," i.e. 48 months from closing; but the ground lease allows 60 months for Phase 1. Coventry could be in default of its guaranty a full year before the ground lease milestone is missed. These are loan-document issues rather than lease issues, but they will surface in the same negotiation and they affect how much enforcement pressure the Authority can apply through us.

6.14 Closing mechanics: three dates that will not line up

- **The survey goes stale on July 19, 2025** for purposes of Bayside § 6(d), which requires a survey "dated within ninety (90) days of the closing date." The field survey is April 20, 2025. Any closing after July 19 requires a re-certification or update. Section 2.3(c) requires a survey dated within 90 days of Lease Commencement.
- **The title commitment expires on December 1, 2025** — six months after its effective date. That is tight but workable for an October 1 commencement, and not workable at all if the lease slips into December. An extension should be requested now rather than in November.
- **Bayside's term sheet expired on June 27, 2025** if not executed and returned by then (Bayside § 12). We do not have an executed copy in the record. Please confirm the status, because the sixty-day exclusivity and the § 5

ground lease conditions both run from execution, and there is a further oddity: a term sheet dated May 28 refers to a ground lease term sheet "dated June 10, 2025," so the version in the record may post-date its own cover date.

6.15 End of term: 99 years, then nothing

Term Sheet § 18 provides that at expiration all improvements become the Authority's property "without any payment, compensation, or reimbursement," and § 3 confirms there are no renewal options. That is market for a ground lease and we have not disturbed it in Section 17.2. But it should be seen clearly for what it is: Meridian invests $425 million in buildings on land it will never own, and, absent an extension or purchase right, receives nothing at the end. We have bracketed three alternatives in Section 17.2 — a 25-year extension option, a purchase option at appraised value in the final ten years, or a right of removal or purchase for trade fixtures — and note that an extension option conflicts with Resolution No. 2025-047, § 4(b), which caps the lease term at ninety-nine years. Any of the three requires Board action. Our view is that the extension option is worth pursuing now, while the Authority needs the transaction, rather than in year 90.

PART 7 — LEGAL RESEARCH AND VERIFICATION ITEMS (NOT YET COMPLETED)

These are the questions on which we have stated a principle but not verified the authority. Each must be closed before the position is relied on externally. We have graded them by consequence.

#	Question	Why it matters	Status
7.1	Connecticut authority on penalties and on relief from forfeiture in a lease, including whether a reverter in a ground lease is treated as an enforceable conditional limitation rather than a penalty, and the treatment of a leasehold mortgagee's intervening interest	Underpins the entire reverter negotiation and any litigation position (Part 5.3)	Open — high
7.2	Whether the City of Port Calloway has statutory authority for a fifteen-year, three-tier abatement at 25% / 50% / 75% of assessed value, and what hearing and approval steps are required	If the structure is outside the city's authority the pro forma fails and the lease cannot fix it (Part 6.2)	Open — critical
7.3	Whether a Connecticut redevelopment authority under Conn. Gen. Stat. § 8-125 et seq. may lease for 99 years, and whether any appraisal, notice, hearing, RFP or best-value requirements apply to the disposition of the leasehold	A defect in the Authority's authority would taint the lease, the title policy and the loan (Part 8)	Open — high
7.4	Whether a mechanics' lien validly attaches to property held by a redevelopment authority for a public purpose, whether Conn. Gen. Stat. § 49-37 bonding is the correct route, and whether Tenant could be treated as an "owner" for lien purposes once the lease and memorandum are recorded	Determines whether the lien must simply be paid or can be defeated (Part 6.6)	Open — medium
7.5	Whether the Authority can be compelled by specific performance to execute a New Lease, and whether a future Board can be bound by this Board's covenant; whether the Authority may agree to binding arbitration; whether a jury trial waiver by a public body is effective; the scope of any governmental immunity	The New Lease right is the single most important lender protection after the cure periods; if it is not specifically enforceable it is worth much less (Sections 9.6, 20.2, 20.16)	Open — high
7.6	Whether the New Lease right survives rejection of the ground lease in bankruptcy as a property interest under 11 U.S.C. § 365(h)/(i), and how to document it to maximize that outcome	Bayside § 5.7(d) requires it (Section 9.8)	Open — medium
7.7	Whether the ELUR's ground-floor restriction,	Design, permitting and Milestone 1 risk	Open —

#	Question	Why it matters	Status
	as drafted and as approved by DEEP, reaches non-habitable lobby, amenity and leasing space, and what a modification application requires	(Part 6.3)	high
7.8	The coastal permit requirements for bulkhead rehabilitation (Structures, Dredging and Fill; tidal wetlands) and whether the pedestrian easement prohibits the work	Schedule and cost risk for an unquantified item (Part 6.5)	Open — medium
7.9	Whether the Authority's 2019 recorded declarations can be amended unilaterally or require the consent of any third party, and what Board action is required	The ROFR amendment is a closing condition (Part 6.7)	Open — medium
7.10	Connecticut and federal fair housing / affirmatively furthering fair housing requirements as they affect unit distribution and the 15% covenant, and any HUD or state monitoring obligations	Affects the distribution provisions in Section 14.5	Open — low

PART 8 — MISSING DOCUMENTS AND DILIGENCE REQUESTS

Items marked ★ should be requested this week; each one has the potential to change a number in the draft.

#	Document	From	Why we need it
1 ★	ALTA/NSPS survey, plat Sheets 1 and 2 (CLS-2025-0417), certified to Bayside	Calloway Land Surveyors / Ridgepoint	To resolve the 480 ft / 320.47 ft bulkhead question, the 139,392 / 139,475 SF area question, and the 8,000 SF open-space geometry
2 ★	Survey CLS-2025-0321 by J. Michael Ferreira, P.L.S. (the survey cited in the title commitment), or confirmation that no such survey exists	Ridgepoint	The title commitment's Exhibit A cannot be reconciled without it
3 ★	Phase II ESA full report and Appendices A–J, especially Appendix I (cost estimate backup) and Appendix F (ELUR)	Halcyon / Meridian	The $2.4M estimate, the disposal quantity, and the ELUR text are all unverifiable without it
4 ★	The ELUR instrument (Vol. 412, Pg. 88) and the DEEP-approved Environmental Management Plan	Land records / Authority	Defines "residential use," the cap specification, and the compliance obligations
5 ★	Declaration of Right of First Refusal (Sept. 8, 2019, Vol. 405, Pg. 55)	Land records	The amendment we must draft (Part 6.7)
6 ★	Declaration of Restrictive Covenants (Nov. 15, 2019, Vol. 408, Pg. 230)	Land records	The six gaps in the affordable covenant (Part 6.11)
7 ★	Independent structural engineering assessment of the bulkhead	Authority (per our request)	Quantifies the largest unallocated cost in the deal (Part 6.5)
8 ★	Executed Bayside term sheet (or confirmation of status), loan commitment letter and the lender's ground lease and SNDA checklists	Meridian / Bayside	Confirms the operative § 5 requirements and whether the June 27, 2025 expiration has passed
9	Bayside's written consent to disclose its confidential term sheet terms to the Authority and its counsel	Bayside	Bayside § 12 restricts disclosure to third parties; the Authority is a third party; yet the lease must implement § 5
10	Coventry preferred equity documentation (11% preferred return, 70/30 promote above a 15% IRR hurdle)	Coventry	Ensures the lease's transfer and ROFR provisions do not impede the equity structure
11	Site plan / zoning analysis for a 28-story tower in WRD-3 (FAR, height, setback, parking)	Meridian / architect	Confirms the program is buildable as of right; not in the record
12	UST closure records and the DEEP LUST file status ("closure pending/incomplete")	Authority / DEEP	The northwest corner contamination is attributed to two USTs removed c. 1988 without documented closure

#	Document	From	Why we need it
13	Authority's 2019/2022 waterfront revitalization plan (as amended and readopted)	Authority	Recited in Resolution No. 2025-047; relevant to the public purpose analysis
14	Certified copy of Resolution No. 2025-047 and the roll-call vote	Authority	Title Requirement No. 2 and Section 2.3(a)
15	Any DEEP correspondence regarding the ELUR, the 2016–2017 remediation or the site's residual contamination	Authority	Landlord's disclosure representation in Section 18.1(f)

PART 9 — SCHEDULE OF PROPOSED DEVIATIONS FROM THE TERM SHEET

Resolution No. 2025-047 authorizes the Executive Director to execute a lease "on terms and conditions substantially consistent with the Term Sheet" (§ 1) and to approve changes he and Authority counsel consider immaterial, provided that any deviation either of them "determines to be material shall be brought before the Board for further review and approval prior to execution" (§ 4(d)). The following table is the list we recommend including in the transmittal to the Authority, both because it is required and because volunteering it builds credibility for the items that matter. Items marked **M** should be treated as material; **I** as immaterial.

#	Provision	Term Sheet position	Draft Lease position	Class
1	Reverter — compensation	Improvements revert "without any payment, compensation, or reimbursement"	Improvement Payment = greater of appraised value or unreimbursed hard costs, net of recoveries and Documented Damages (§ 10.6)	M
2	Reverter — mechanism	"Shall automatically terminate" at expiry of 180-day cure	Landlord election required within 30 days after all cure periods; deemed waiver; no automatic termination (§ 10.5)	M
3	Deposit on reverter	Landlord "entitled to draw in full"	Draw limited to Documented Damages; excess returned (§ 10.9)	M
4	Lender cure for milestone defaults	None in the Term Sheet; 90 days non-monetary in Bayside § 5.4	180 days from expiry of Tenant's cure period (§ 9.5(c))	M
5	New Lease	"Substantially the same terms"; cure within 60/90 days of termination	Remainder of term; 60-day request window; 30-day execution; priority and sublease recognition; 180-day non-monetary tail (§ 9.6)	M
6	Amendment restriction	Not addressed	No material amendment without each Leasehold Mortgagee's consent; void as against the mortgagee (§ 9.4)	M
7	Bankruptcy	Not addressed (filing is an Event of Default)	Section 365 protections; no ipso facto termination; New Lease survives rejection (§ 9.8)	M
8	Percentage rent	Breakpoint fixed at $28,500,000 for the Term	Breakpoint indexed at each Rent Reset to preserve the Year 6 ratio (§ 5.3)	M
9	Tax abatement	Period commences on the Lease Commencement Date	Period commences on the later of Rent Commencement and the first assessment reflecting the completed Improvements; rent credit backstop (§§ 6.7–6.8)	M
10	Remediation overruns	Tenant bears all costs above $2,400,000	Landlord bears overruns attributable to undisclosed or undelineated Pre-Existing Environmental Conditions; Landlord indemnity (§§ 7.4(c), 7.5)	M
11	Bulkhead	Not addressed	Landlord funds the structural assessment; alternative repair allocation with rent credit (§§ 2.9(b), 14.3)	M
12	Tenant extension option	"No renewal options are contemplated"	One 25-year extension at Tenant's option (§ 2.7, bracketed); note this exceeds the 99-year cap in Resolution § 4(b)	M
13	Milestone extensions	12 mo. FM + 6 mo. permitting; nothing for Landlord delay	Adds uncapped Landlord Delay and optional paid extensions (§ 3.4)	M
14	ROFR	Applies to any non-Affiliate assignment in first 20 years	Direct assignments for value only; broad Permitted Transfers; mortgagee carve-outs; lapse on failed closing; recorded Declaration to be amended (§§ 11.3, 11.5)	M
15	Rent amounts	$3,224,500 / $3,648,200	$3,224,513 / $3,648,241 (recomputed from 2.5% compounding)	I
16	CPI base month	From the Lease Commencement	From the Rent Commencement Date (§ 4.4(b))	I

#	Provision	Term Sheet position	Draft Lease position	Class
		Date		
17	Rent reset mechanic	Ten-year resets off the original Base Rent	Unchanged, but a bracketed annual CPI alternative with a 0–4% collar is proposed (§ 4.4, note)	M
18	Setoff	"Without setoff" (§ 5) but Tenant may offset (§ 16)	Express limited setoff rights with notice to mortgagees (§ 4.6)	I
19	Flood insurance	NFIP maximum	NFIP maximum plus excess/DIC to full replacement cost (§ 12.1(f))	I
20	LOC issuer	A-/A3 bank (or, per Board recital, federally chartered bank)	Either test (§ 8.3); cash deposit at Tenant's option (§ 8.2)	I
21	Occupancy measurement	"Overall occupancy rate of 90%"	Defined RSF-based test with certification and deemed-approval mechanics (§ 8.4)	I
22	Condominium conversion	Rent only; "no condominiums or cooperative units"	Conversion permitted if it does not alter Landlord's rights or reversion (§ 15.2)	M
23	Remediation credit survival	Silent	Unapplied credit paid in cash on early termination (§ 7.2)	I
24	Venue	"Judicial District of Port Calloway"	Judicial District of New Haven; mediation first (§ 20.2)	I
25	Title and survey corrections	Mechanics' lien listed as a Permitted Exception	Lien discharged at Landlord's cost; legal description conformed to the survey; both conditions precedent (§§ 2.3, 2.9(a), 16.2)	I — but gating

Our recommendation is to transmit this schedule with the draft, with a cover note from us explaining that items 1–5, 8–11 and 14 are responsive to the requirements of the construction lender and that items 1–3 are also responsive to the Authority's interest in an enforceable remedy. See Part 10.

PART 10 — NEGOTIATION STRATEGY

10.1 Must-haves (walk-away if refused)

- **Compensation for improvements on any reverter** (§ 10.6) — your stated non-negotiable, and the condition to the loan.
- **Lender cure periods and New Lease** (§§ 9.5, 9.6) — without these the loan does not close, whatever the rest of the document says.
- **A conformed legal description and a discharge of the mechanics' lien** (§§ 2.3, 16.2) — title cannot issue otherwise.
- **An amendment of the recorded ROFR** to carve out mortgagee enforcement (§ 11.5) — a recorded instrument cannot be overridden by contract.
- **A tax abatement backstop** (§ 6.8) — the Authority is not the taxing authority, so a covenant alone is not enough.

10.2 Strong preferences (trade only against something real)

- Breakpoint indexation (§ 5.3) — trade against a higher Percentage Rent rate if pressed, or accept CPI-only indexation as a fallback.
- Abatement commencement re-anchoring (§ 6.7) — this is the highest-value item that the Authority will frame as impossible; it may need City cooperation and therefore time.
- Environmental overrun allocation and indemnity (§§ 7.4(c), 7.5) — a 50/50 sharing above $2.4 million is an acceptable landing zone.
- Bulkhead allocation (§§ 2.9(b), 14.3) — get the assessment first; the number will do the arguing.
- Extension option (§ 2.7) — valuable but not worth the transaction; drop it if the Board resists.

10.3 Tradeables (give these if needed)

The recomputed rent amounts (Part 2.1 items 3–4 — a $54 per annum point); the CPI base-month correction (item 16); the setoff mechanics; the flood insurance enhancement (we would not concede this, since it protects Bayside, but we can let it be framed as a lender requirement rather than a Tenant ask); the condominium conversion right; and the paid-extension mechanic, which is a concession to Tenant that costs the Authority nothing if Tenant never uses it and pays the Authority if it does.

10.4 Sequencing

Send the draft and this schedule to Mr. Koss with the loan-driven items identified as lender requirements, not Tenant preferences. That framing is accurate — Bayside § 5 requires most of them — and it moves the argument from "the tenant wants more" to "the deal does not fund without this." Then schedule a joint call with Authority counsel and Bayside's counsel in the same week, so that the Authority hears the lender's requirements from the lender. We should not negotiate the reverter with Authority counsel alone and then have to re-open it when Bayside's redline arrives.

PART 11 — TIMELINE TO OCTOBER 1, 2025

Date	Milestone	Owner
June 20, 2025	Draft Lease and this memorandum delivered to you	Hargrove & Linden
June 23–27, 2025	Your review and instructions on the bracketed items (Part 11 note below)	Meridian
June 27, 2025	Confirm Bayside term sheet execution status (Bayside § 12 expiration)	Meridian
June 29, 2025	Target delivery of the Draft Lease to Howard Koss with the deviation schedule	Hargrove & Linden
Week of June 30	Joint call with Authority counsel and Bayside counsel on Article 9 and the reverter	All
July 7–18, 2025	Request survey re-certification / update (90-day window expires July 19); request DEEP pre-application meeting on the ELUR ground-floor question	Meridian / Halcyon
July 2025	First redline from Pryor Whitfield & Koss; Bayside checklist redline	Authority / Bayside
August 2025	Negotiate Articles 6, 7 and 10 (tax abatement, environmental, reverter); confirm City authority for the abatement with municipal finance counsel	All
August 2025	Obtain the bulkhead structural assessment and price the repair	Authority
Early September	Circulate the execution version to the Authority Board package; request a special meeting date	Authority / Hargrove & Linden
Mid-September	Board resolution approving the definitive lease (Term Sheet § 15(g)) and the recorded ROFR amendment	Authority Board
Late September	Title: conformed commitment, lien discharged, policies marked to issue; SNDA executed and recorded	Ridgepoint / all
October 1, 2025	Lease Commencement Date; Memorandum of Lease recorded; Letter of Credit delivered	All

The critical path is not the drafting. It is the Authority Board calendar and the City's tax abatement approval. Resolution No. 2025-047 is an authorization to negotiate and execute a lease substantially consistent with the Term Sheet; Term Sheet § 15(g) separately requires approval of the definitive lease by the Board at a properly noticed public meeting, and Resolution § 4(d) requires Board review of material deviations. You should assume **two** Board actions are required — one for the lease and one for the recorded ROFR amendment — and that the City must act separately on the abatement agreement. On a municipal calendar that is four to six weeks before October 1. Our

> recommendation is that we ask Mr. Koss this week to reserve a special meeting date in the second week of September.

Five dollar amounts are left blank in the Draft Lease, each marked "$[●]" and each requiring your instruction or a negotiated number: (i) the fee for Tenant's optional 6-month milestone extensions (§ 3.4(d)); (ii) the cap on Tenant's environmental indemnity (§ 7.6); (iii) the minimum capital and surplus of a federally chartered letter-of-credit issuer, if that alternative is used (§ 8.3); (iv) the net-worth qualification for a foreclosure transferee (§ 9.7); and (v) the threshold above which alterations in the final ten years of the Term require consent (§ 14.6). We have not inserted numbers because each is a business judgment, and because the Authority will want to negotiate each of them.

Items requiring your decision before we send the draft. (i) Do you want us to keep the bracketed 25-year extension option in Section 2.7, given that it exceeds the 99-year cap in Resolution § 4(b) and will itself require Board action? (ii) Do you accept the recomputed rent figures ($3,224,513 and $3,648,241) or should we adopt the Term Sheet's rounded amounts? (iii) Do you want us to press for a 16–17 foot finished floor elevation now rather than 15 feet? (iv) Are you comfortable with the 24-month Base Rent cap on Documented Damages, or should we propose a lower number (e.g., 12 months) to make the proportionality argument even stronger at the cost of some negotiating room? (v) Do you want us to include the cash-security-deposit alternative (Bayside permits it; the Term Sheet does not)?

APPENDIX 1
SOURCE-TO-ISSUE LOG

Each material proposition, figure, date and obligation relied on in this memorandum and in the Draft Lease, with the document and location from which it was taken. "TS" = Term Sheet (June 10, 2025); "BL" = Bayside construction loan term sheet (May 28, 2025); "TC" = Title Commitment TC-2025-07821; "P2" = Phase II ESA executive summary (May 2, 2025); "SV" = survey narrative CLS-2025-0417; "BR" = Board Resolution No. 2025-047; "CI" = client instructions (June 15, 2025).

Proposition / figure	Source
Parties, addresses, EIN, formation date	TS § 1; BL § 1; TC Sched. A § 4
Authority's enabling statute (CGS § 8-125)	TS § 1; BR preamble; TC Sched. A § 4
Premises: 10–30 Pier Street; APN 127-003-0045; ~3.2 ac / 139,392 SF	TS § 2; P2 § 2.1; SV § 1; BR recitals
Waterfront location; 480 LF of bulkhead	TS § 2; P2 § 2.1; SV §§ 1, 3(b)
FEMA Zone AE; BFE 12 ft NAVD88; FFE 15 ft NAVD88	TS § 2; P2 § 5; TC Ex. 9; SV § 2; BL § 6(l)
Lease term 99 years; expiration Sept. 30, 2124	TS § 3; TC Sched. A § 3; BR § 1
Rent Commencement = earlier of 36 months or first CO	TS § 3
No renewal options	TS § 3
Project program: 28-story tower, 6-story office, retail, parking	TS § 4; P2 § 2.3 (Client note); BL § 1
Ground-floor residential lobby and amenity spaces	TS § 4(a)
8,000 SF public open space	TS § 4; BR § 2(e); BL § 1
15% affordable at 80% AMI for the term	TS § 4; BR § 2(b); TC Ex. 5; BL § 1, § 7(f)
ELUR recorded Mar. 22, 2018, Vol. 412, Pg. 88	TS § 4, § 7; TC Ex. 1; P2 § 2.3; SV § 3(c); BL § 6(e)
Initial Base Rent $2,850,000; $237,500/month; $20.45/SF	TS § 5
2.5% escalation; $3,224,500 / $3,648,200	TS § 5
CPI resets at Lease Years 16–96; greater of formula	TS § 5
Percentage Rent 2.0%; Breakpoint $28,500,000; from Lease Year 6	TS § 6; BR recital (b)
Gross Revenues definition and exclusion placeholder	TS § 6
Audit right; 5% threshold; 3-year retention	TS § 6
Phase II: Area 1 4,200 SF, max TPH 3,800 mg/kg; Area 2 1,600 SF, max 1,200 mg/kg; RDEC 500 mg/kg	TS § 7; P2 §§ 4.1–4.2, 7
Remediation estimate $2,400,000 ($1,850,000 / $550,000)	TS § 7; P2 § 6
Remediation credit $1,800,000; Tenant bears $600,000 and all overruns	TS § 7; P2 § 6 (Allocation Note)
Contingency lines stated as 10% ($100,000 / $25,000)	P2 § 6 (cost tables)
ELUR ambiguity re non-habitable ground-floor space; recommend DEEP clarification	P2 § 2.3 (Important Note), § 7 rec. 2
ELUR: no potable wells; annual compliance certification; 30-day breach notice; 90-day repair	P2 § 2.3(b)–(d); TC Ex. 1
Bulkhead fair-to-poor; 40 LF of cap removed; repair excluded from estimate	P2 § 5; SV § 3(d)(iii)
Freeboard recommendation 4–5 ft; PA 23-167; CIRCA projections; Nov. 2024 flooding at 10.5 ft	P2 § 5, § 7 rec. 5; SV § 2 (surveyor's note)
Security deposit $5,700,000; step-down to $2,850,000 at 90% occupancy for 24 months	TS § 8; BR recital (c); BL § 4
Milestones 1–4 and dates	TS § 9; BR § 2(a)
Force majeure 12 months; permitting 6 months; aggregate 18 months	TS § 9
Reverter: automatic termination; deposit forfeiture; improvements without compensation	TS § 9
Term Sheet lender protections (mortgage, SNDA, New Lease, notices, no surrender, foreclosure)	TS § 9; BL § 5.1–5.7
Bayside cure periods 60/90 days; non-concurrent; simultaneous notices	BL § 5.4
Bayside bankruptcy protections	BL § 5.7
Triple net; current assessment $4,200,000; mill rate 34.75; $145,950	TS § 10; TC Ex. 7
Projected assessment $178,000,000; $6,185,500 at full	TS § 10; BR recital
Abatement 25/50/75% for 15 years, commencing Lease Commencement Date	TS § 10; BR recital
Abatement implemented by separate agreement with the City	BR § 3(d)
Assignment consent; subletting; ROFR first 20 years; Affiliate definition	TS § 11; TC Ex. 4
Recorded ROFR Declaration Sept. 8, 2019, Vol. 405, Pg. 55, without mortgagee carve-outs	TC Ex. 4
Recorded affordable covenant Nov. 15, 2019, Vol. 408, Pg. 230, with six gaps	TC Ex. 5
Insurance: CGL $10M/$20M; all-risk; builder's risk; NFIP flood; environmental $5M/$10M; WC	TS § 12; BL § 6(h)

Proposition / figure	Source
Permitted Exceptions list (10 items)	TS § 13; TC Sched. B-II
Mechanics' lien $187,500, Apr. 3, 2025, Vol. 418, Pg. 302	TS § 13; TC Ex. 6 and Req. 7; SV § 3(d)(iii)
Loan $285M; SOFR + 275; 48 months + two 6-month extensions	TS § 14; BL § 2
Equity: Coventry $95M; Meridian $45M; total $425M	TS § 14; BL § 3
Cost allocation: hard $352M; soft $38.5M; contingency $34.5M	TS § 14; BL § 3
Coventry completion guaranty to Initial Maturity Date	BL § 4
Conditions precedent to lease commencement	TS § 15
Default and remedies summary; reverter available on any Event of Default	TS § 16
Casualty/condemnation summary; award allocation	TS § 17
End of term: improvements to Landlord without compensation; last-10-year alteration restriction	TS § 18
Governing law; mediation; Judicial District of Port Calloway; FOIA; exclusivity to Dec. 31, 2025	TS § 19
Resolution authority; rent floor; 99-year cap; affordable floor; material deviation rule	BR §§ 1, 2, 4
Title commitment expiration Dec. 1, 2025; requirements 1–8	TC Conditions, Sched. B-I
Survey: CLS-2025-0417; Pellegrino PLS-008741; Table A items; certification to four parties	SV cover, § 5
Survey referenced in title: CLS-2025-0321; Ferreira PLS 12847; rev. May 15, 2025	TC Sched. A § 5; Ex. A
Condemnation: 2012; Vol. 367 Pg. 44 (TC) / Vol. 375 Pg. 44 (SV); New Haven (TC) / Port Calloway (TS)	TS § 2; TC Sched. A § 4, Ex. 10; SV § 4
Client priorities: reverter, financeability, abatement, percentage rent, remediation, deposit, affordable, milestones, assignment	CI §§ 1–5
Total project cost $425M; client's improvement value estimate $200–300M at Milestone 3	CI § 1, § 2

APPENDIX 2

PERCENTAGE RENT AND RENT RESET MODELS

A2.1 Breakpoint erosion. Base Rent escalated at the 2.5% floor; Breakpoint fixed at $28,500,000; "Year-1 dollars" deflate nominal amounts at the same 2.5% for comparability.

Lease Yr	Base Rent (2.5% floor)	Breakpoint	Breakpoint ÷ Base Rent	Breakpoint (Yr-1 $)	Base Rent (Yr-1 $)
6	3,224,513	28,500,000	8.84×	25,189,847	2,850,000
16	4,127,650	28,500,000	6.90×	19,678,268	2,850,000
26	5,283,741	28,500,000	5.39×	15,372,632	2,850,000
36	6,763,635	28,500,000	4.21×	12,009,075	2,850,000
46	8,658,024	28,500,000	3.29×	9,381,471	2,850,000
56	11,083,003	28,500,000	2.57×	7,328,790	2,850,000
66	14,187,181	28,500,000	2.01×	5,725,239	2,850,000
76	18,160,791	28,500,000	1.57×	4,472,547	2,850,000
86	23,247,348	28,500,000	1.23×	3,493,947	2,850,000
96	29,758,571	28,500,000	0.96×	2,729,466	2,850,000

Observation: the real value of the Breakpoint falls below the Year-1 Base Rent in nominal terms by Lease Year 86 and in real terms far earlier. A fixed breakpoint in a 99-year lease is a transfer of value, not a sharing of upside.

A2.2 Reset step sensitivity. Base Rent under Section 4.4 is flat within each ten-year band and steps to the full cumulative index at each Rent Reset Date. The step at Lease Year 16, for a range of long-run CPI assumptions:

Long-run CPI	Lease Yr 15 Base Rent	Lease Yr 16 Base Rent	Step
2.0%	3,648,241	3,835,725	+5.1%
2.5%	3,648,241	4,127,650	+13.1%
3.0%	3,648,241	4,440,128	+21.7%
3.5%	3,648,241	4,774,744	+30.9%
4.5%	3,648,241	5,515,555	+51.2%

After Lease Year 16, each subsequent reset produces a further step equal to ten years of index growth (28.0% at 2.5% CPI), because the formula recomputes from the original Base Rent rather than compounding the then-current rent.

A2.3 Percentage Rent illustrations (Breakpoint $28,500,000; rate 2.0%)

Lease Yr	Gross Revenues	Breakpoint	Excess	Percentage Rent	% of Base Rent
6	30,000,000	28,500,000	1,500,000	30,000	0.9%
6	40,000,000	28,500,000	11,500,000	230,000	7.1%
6	60,000,000	28,500,000	31,500,000	630,000	19.5%
6	90,000,000	28,500,000	61,500,000	1,230,000	38.1%
96 (fixed BP)	60,000,000	28,500,000	31,500,000	630,000	2.1%
96 (indexed BP)	60,000,000	262,986,000	nil	nil	nil

APPENDIX 3
RECOMPUTATION SCHEDULES

A3.1 Base Rent and monthly installments

Lease Years	Formula	Annual	Monthly
1–5	$2,850,000	$2,850,000.00	$237,500.00
6–10	$2,850,000 × 1.025^5	$3,224,513.41	$268,709.45
11–15	$2,850,000 × 1.025^10	$3,648,240.95	$304,020.08

A3.2 Tax schedule (mill rate 34.75; projected assessed value $178,000,000)

Phase	Percentage of assessed value	Assessed value subject to tax	Annual tax	Annual saving vs full
Years 1–5	25%	$44,500,000	$1,546,375	$4,639,125
Years 6–10	50%	$89,000,000	$3,092,750	$3,092,750
Years 11–15	75%	$133,500,000	$4,639,125	$1,546,375
Year 16+	100%	$178,000,000	$6,185,500	nil
15-year total	—	—	**$46,391,250 in savings**	—

A3.3 Remediation cost — stated vs. recomputed

Item	Area 1	Area 2	Combined
Excavation and soil management	$680,000	$210,000	$890,000
Transportation and disposal	$520,000	$145,000	$665,000
Confirmation sampling and laboratory	$85,000	$40,000	$125,000
Clean backfill procurement and placement	$290,000	$85,000	$375,000
Environmental oversight and reporting	$175,000	$45,000	$220,000
Subtotal	$1,750,000	$525,000	$2,275,000
Stated contingency (labelled "10%")	$100,000	$25,000	$125,000
Stated total	$1,850,000	$550,000	$2,400,000
Effective contingency rate	5.71%	4.76%	5.49%
Total if 10% is applied	$1,925,000	$577,500	$2,502,500
Tenant residual at stated total	—	—	$600,000
Tenant residual if 10% applied	—	—	$702,500

A3.4 Capital stack and uses

Sources	Amount	Uses	Amount
Construction loan (Bayside)	$285,000,000	Hard costs	$352,000,000
Preferred equity (Coventry)	$95,000,000	Soft costs	$38,500,000
Co-invest (Meridian)	$45,000,000	Contingency	$34,500,000
Total sources	**$425,000,000**	**Total uses**	**$425,000,000**
Loan-to-cost	67.06%	Origination fee (1.00%)	$2,850,000
		Remediation (not budgeted)	$2,400,000
		Bulkhead (not budgeted, unquantified)	TBD

APPENDIX 4
OPEN ITEMS CHECKLIST

#	Item	Type	Owner	Target
1	Confirm bracketed policy items in Part 11 (extension option; rent figures; freeboard; damages cap; cash deposit)	Instruction	M. Ellison	June 24
2	Confirm Bayside term sheet executed; obtain lender's ground lease and SNDA checklists	Diligence	M. Ellison / S. Milliken	June 27
3	Request survey plat and re-certification; obtain CLS-2025-0321 if it exists	Diligence	J. Abernathy	June 27
4	Request Phase II full report, Appendices A–J, ELUR instrument and EMP	Diligence	J. Abernathy	June 27
5	Request recorded 2019 declarations (ROFR and affordable covenant)	Diligence	J. Abernathy	June 27
6	Commission the bulkhead structural assessment	Action	Authority / Meridian	June 30
7	Obtain Bayside consent to disclose its term sheet terms to the Authority and its counsel	Action	R. Tsang	July 3
8	DEEP pre-application meeting on the ELUR ground-floor interpretation	Action	Halcyon / Meridian	July 15
9	Verify City's statutory authority for the 15-year abatement; confirm hearing requirements	Legal research	R. Tsang	July 18
10	Complete Connecticut research on penalty/forfeiture, New Lease enforceability, municipal arbitration, and mechanics' liens on public property	Legal research	R. Tsang / J. Abernathy	July 25
11	Draft the amendment to the recorded ROFR for Authority counsel	Drafting	R. Tsang	July 25
12	Obtain zoning/site-plan analysis confirming the 28-story program is buildable as of right	Diligence	Meridian / architect	July 31
13	Confirm remediation contingency (5.5% or 10%) with Halcyon and correct the figures if needed	Instruction	Meridian	July 11
14	Confirm AMI geography with HUD and conform the Term Sheet, title exception and survey	Diligence	J. Abernathy	July 11
15	Request special Authority Board meeting date for the second week of September	Action	R. Tsang to H. Koss	June 27
16	Confirm that a separate ROFR-amendment resolution is required and calendared	Action	Authority counsel	July 18
17	Obtain City counsel's confirmation on the tax abatement agreement timeline and fiscal-year constraints	Action	Authority / City	August 8
18	Reconcile the 480 ft / 320.47 ft bulkhead length and conform Sections 2.9 and 14.3	Drafting	J. Abernathy	After survey plat

Legend. *Instruction* — requires a decision from the client. *Diligence* — requires a third party's document. *Action* — requires a third party's cooperation or performance. *Legal research* — requires completion before the position is used externally. *Drafting* — within our control.

This memorandum is a privileged and confidential attorney–client communication prepared in anticipation of litigation and for the purpose of rendering legal advice. It is based solely on the documents identified in Part 1 and Appendix 1, which we have assumed to be genuine, complete and accurate. We have not independently investigated the Premises, the title, the environmental conditions, the financial projections or the parties' authority except as expressly stated. Nothing in this memorandum constitutes an opinion of Connecticut law on the questions identified in Part 7, which remain subject to confirmation.